
FTG Holdings Limited



Incorporated in Mauritius under the Companies Act 2001 (No. 15, Laws of Mauritius)

Company No: 107319 C1/GB1

Listing Statement

6th November 2014

In respect of:

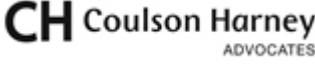
The Listing by Introduction on the Growth Enterprise Market Segment ("GEMS") of the Nairobi Securities Exchange ("NSE") of 161,866,804 Issued Ordinary Shares of KES 0.825 each of FTG Holdings Limited ("FTG Holdings") at a listing price of KES 8.00 per Ordinary Share

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Transaction advisors

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Reporting Accountants  PKF Kenya Certified Public Accountants (Kenya) Kalamu House, Grevillea, Westlands P.O. Box 14077-00800, Nairobi, Kenya Contact: Rajan Shah	Advisors  Viva Africa Consulting LLP Advisors Kiganjo House, 3rd Floor, Rose Avenue, P. O. Box 75079-00200, Nairobi, Kenya
Registrar  The Central Depository & Settlement Corporation Limited (CDSC) Nation Centre, 10th Floor, Kimathi Street P.O. Box 3464-00100 GPO Nairobi	Sponsoring Stockbroker  Faida Investment Bank Crawford Business Park Ground Floor, State House Road P.O. Box 45236-00100 Nairobi

Important Notice

THIS DOCUMENT CONTAINS IMPORTANT INFORMATION FOR CONSIDERATION AND REQUIRES CAREFUL ATTENTION AS IT INCLUDES WITHIN IT, LEGAL, MARKET AND HISTORIC AND CURRENT FINANCIAL INFORMATION.

This Listing Statement includes particulars given in compliance with the requirements of the Companies Act 2001 (Cap.486), the requirements of the Capital Markets Act (Cap. 485A), The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 and, the rules and regulations made thereunder, as well as the rules contained in the Nairobi Securities Exchange (“NSE”) listing rules, in particular, the NSE Listing Manual

This Listing Statement is issued by FTG Holdings Limited (“FTG Holdings” or “the Issuer” or “the Company”) and has been prepared in compliance with The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 in connection with the proposed listing of the whole of its existing issued Share Capital (“Shares”) on the Official List of the Nairobi Securities Exchange by way of Introduction (“Introduction”) in the Growth Enterprise Market Segment (“GEMS”) of the Nairobi Securities Exchange (“NSE”). This follows approval of the listing by the Shareholders through a Shareholders resolution dated 11th September 2014.

Application is being made to the NSE for the listing of the Shares of the Group on the NSE. Subject to compliance with the NSE Listing Manual, the NSE will admit the Shares of the Group for listing under the security code “{FTG}” in the GEMS. As a matter of policy, the NSE and the Capital Markets Authority assume no responsibility for the correctness of any statements or opinions made, or reports contained in this Listing Statement, as the case may be. Approval of the Listing is not to be taken as an indication of the merits of the Group or of the shares.

Should any doubt arise as to the meaning of the contents of this Listing Statement or as to what action to take, please consult your investment bank, financial advisor, stockbroker or other professional advisor, duly authorized under the Capital Markets Act, who specializes in advisory on the acquisition of shares and other securities.

The Directors of the Issuer, whose names appear on page vii of this Listing Statement, accept responsibility for the information contained in this document. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case), the information contained in this document is in accordance with facts and does not omit anything likely to affect the import of such information.

A copy of this Listing Statement together with the documents required by Section 43 of the Companies Act (Cap.486) to be attached hereto, have been delivered to the Registrar of Companies in Nairobi for registration.

Shares of FTG Holdings will be available to the general public through the secondary trading on the NSE. Upon listing, the sale or transfer of Shares will be subject to the rules of the NSE and the CDSC (as defined below). The register will be maintained by The Central Depository & Settlement Corporation Limited (CDSC) (the “Registrar”). There are currently no other restrictions on the sale or transfer of Shares under Kenyan law by Kenyan residents.

This Listing Statement does not constitute an offer or invitation to any person to subscribe for or purchase any new shares in FTG Holdings and is not marketing any new shares of the Company. Neither this Listing Statement nor any other information supplied in connection with the Introduction is intended to provide a complete basis of any credit or other evaluation, nor should it be considered as a recommendation by FTG Holdings, that any recipient of this Listing Statement (or any other information supplied in connection with the Introduction) should purchase any shares of the Company.

Legal Advisor’s Opinion

Coulson Harney Advocates, the Legal Advisors, have given and not withdrawn their written consent to the inclusion in this Listing Statement of their Legal Opinion (attached as Appendix I), and the references to their names in the form and context in which they appear, and have authorized the contents of the said Legal Opinion. The Statutory, Legal and General Information section of this Listing Statement lists material contracts which arose in the ordinary course of business in which the Issuer is currently involved.

Reporting Accountant’s Opinion

This Listing Statement contains statements from PKF Kenya, the Reporting Accountants, which constitutes statements made by an expert in terms of Section 42(1) of the Companies Act (attached as Appendix II). The Reporting Accountants have given and not withdrawn their consent to the issue of the said statements in the form and context in which they are included in this Listing Statement.

Forward-looking statement

This Listing Statement contains “forward-looking statements” relating to the Group’s business. These forward-looking statements can be identified by the use of forward-looking terminology such as “believes”, “expects”, “may”, “is expected to”, “will”, “will continue”, “should”, “would be”, “seeks” or “anticipates” or similar expressions, or the negative thereof, or other variations thereof, or comparable terminology or by discussions of strategy, plans or intentions.

These statements reflect the current views of the Group with respect to future events and are subject to certain risks, uncertainties and assumptions. Many factors could cause the actual results, performance or achievements of the Group to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements. Some of these factors are discussed in more detail under “Key Risk Factors” and “The Group”.

Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Listing Statement as anticipated, believed, estimated or expected.

This Listing Statement is dated: 6th November 2014.

Chairman's Statement

Dear Shareholder,

On behalf of the Board it is my pleasure to present this Listing Statement to you on the listing of FTG Holdings Limited. Established over 25 years ago, the Group is among the largest manufacturers of plastic water tanks in East Africa and one of the largest in Africa with factories in Kenya, Ethiopia, Rwanda and Mozambique. Over the period the Group, in line with its vision, has been at the forefront of innovation and service delivery. The Group, whose brands include “Roto” tanks and “Zoe” brand of cosmetics, enjoys high visibility in the water storage and beauty industries respectively.

The Group's listing will give it access to the capital markets which offer more affordable funding, through both equity and debt, required to fuel future growth and to increase capacity where demand is currently outstripping supply.

Beyond raising growth capital, a GEMS listing increases visibility of the Group, thus enhancing its status and corporate image with customers, potential customers, creditors and other stakeholders, as well as bringing the benefits of improved corporate governance. Access to the equity market will enable the Company to unlock value for present and future shareholders.

We are committed to offering value to our future shareholders from the start and sharing with them the financial and social benefits of creating a pan African Group.

Yours sincerely,

George Theobald
Chairman & Non- Executive Director

Corporate Information

Issuer Name

FTG Holdings Limited
KVM International Limited (Previous Name)

Issuer Contact Information

FTG Holdings Limited
P.O Box 27621 – 00506
Nairobi, Kenya
Tel: (020) 554013/554015
Email : info@flametreegroup.com,
Website: <http://www.flametreegroup.com/>

Contact Persons

Heril Bangera
Managing Director and Chief Executive Officer (“CEO”)
FTG Holdings Limited
Email: hb@flametreegroup.com

Shimoga Aravinda
Group Finance Manager
FTG Holdings Limited
Email: arao@flametreegroup.com

Current Directors of the Issuer

- George Theobald-Tanzanian
Non-Executive Director (Chairman)
P.O Box 1344, Plot 7/7A, Nyerere Road
Dar Es Salaam, Tanzania
- Heril Colbert Bangera - Kenyan
Managing Director and CEO
P.O. Box 27621-00506, Nairobi, Kenya
- Gilles Kichenin - French
Executive Director
Avenue of ebony, Grind Reunion, Floreal, Mauritius
- Imalambaal Kichenin - Mauritian
Executive Director
Avenue des Ebniars, Floreal, Mauritius
- Frank Ireri – Kenyan
Non-Executive Director
P.O. Box 1349-00621, Nairobi, Kenya

Registered Office	Level 12 Nexteracon Tower II Ebene, Mauritius
Kenya Branch Office	FTG Holdings Limited 1st Floor, (Roto Moulders Limited Building) Off Enterprise Road, opposite to Road 'A' (Next to Jomo Kenyatta Foundation) Nairobi.
Financial Calendar	Financial Year End- 31st December
Incorporation	Date of Incorporation: 18 th January 2012 Country of Incorporation: Mauritius
Legislation	Companies Act 2001 (No.15, Laws of Mauritius)
Legal Form	Public Company Company No: CF/2014/156762
Subsidiaries	As at the date of publication of this Listing Statement, FTG Holdings had eleven (11) subsidiaries: ▪ Roto Moulders Limited, Kenya ("Roto Kenya"). Roto Kenya was incorporated on 31st August 1989. ▪ Roto Limited, Rwanda (Roto Rwanda"). Roto Rwanda was incorporated on 14th June 2000. ▪ Flame Tree Brands Limited, Rwanda ("Flame Tree Rwanda"). Flame Tree Rwanda was incorporated on 19th July 2002. ▪ Flame Tree Africa Limited, Kenya ("Flame Tree Kenya"). Flame Tree Kenya was incorporated on 20th May 2008. ▪ Cirrus International FZC, UAE ("Cirrus"). Cirrus was incorporated on 16th June 2009. ▪ Rino Tanques Lda, Mozambique, ("Rino"). Rino was incorporated on 27th January 2010. ▪ Roto PLC, Ethiopia ("Roto Ethiopia"). Roto Ethiopia was incorporated on 18th February 2010. ▪ Cherry Styles Limited, Kenya ("Cherry Styles"). Cherry Styles was incorporated on 04th November 2011. ▪ BuildMart Limited, Rwanda ("BuildMart"). BuildMart was incorporated on 17th September 2012. ▪ Happy Eaters Kenya Limited, Kenya ("Happy Eaters"). Happy Eaters was incorporated on 26th September 2012. ▪ Jojo Plastics Limited, Kenya ("jojo"). Jojo was incorporated on 5th September 2014

Group Secretaries

Juristax Limited
Level 12 NeXTeracom Tower II
Ebene Mauritius

**Authorised representative
in respect of the Kenya
Branch office**

MLR Associates Certified Public Secretaries
16, Mwanzi Road Opp Ukay Nakumatt
P.O Box 42027-00100
Westlands, Nairobi

Auditors

PKF Kenya
Certified Public Accountants (Kenya)
Kalamu House. Grevilea Grove. Westlands
P.O. Box 14077-00800
Nairobi, Kenya

Legal Advisors

Coulson Harney Advocates
5th floor, ICEA Lion Centre, West Wing,
Riverside Park, Chiromo Road
P. O. Box 10643-00100
Nairobi, Kenya

Principal Bankers

Diamond Trust Bank
DTB Centre, Mombasa Road,
Nairobi, Kenya

Glossary of Definitions and Abbreviations

Subject	Definition
Articles	The Articles of Association of FTG Holdings Limited
Board	The Board of Directors of the Issuer
Capital Markets Legislation	Means (a) the Capital Markets Act, Chapter 485A of the Laws of Kenya and all subsidiary legislation and rules and guidelines promulgated thereunder (b) the rules of the NSE (c) Companies Act and (d) any law applicable to capital markets in Kenya
CAGR	Compounded Annual Growth Rate
CBK	Central Bank of Kenya
CBR	Central Bank Rate
CCA	Comparable Company Analysis
CDSC	Central Depository and Settlement Corporation Limited. The Central Depository System, a computer system operated by CDSC in accordance with the Central Depositories Act, 2000 that facilitates holding of securities in electronic accounts thereby facilitating faster and easier processing of transactions at the NSE
CEO	Chief Executive Officer
CMA	The Capital Markets Authority in Kenya, a statutory body incorporated under the Capital Markets Act and includes anybody replacing it or any of its functions
Company	FTG Holdings Limited
The Group	FTG Holdings Limited together with its Subsidiaries
Companies' Act	The Companies Act 2001 (Laws of Mauritius)
DCF	Discounted Cash Flow valuation methodology
Directors or the Board	Directors of the Group whose names appear on page vii of this Listing Statement
DPS	Dividend Per Share
EBITDA	Earnings Before Interest Tax Depreciation and Amortization
EPS	Earnings Per Share
FCFF	Free Cash Flow to Firm
GDP	Gross Domestic Product
GEMS	Growth Enterprise Market Segment of the NSE
Issuer	FTG Holdings Limited
KES	Kenya Shilling
Listing	Admission of the Shares to the GEMS
Listing Price	KES 8.00 per share
Market Cap	Market Capitalisation
MPC	Monetary Policy Committee
NSE	Nairobi Securities Exchange
Share Capital	The stated capital of FTG Holdings amounting to KES 307,802,875 divided into 161,866,804 ordinary shares of KES 0.825 each and share premium
Subsidiaries	Flame Tree Africa Limited, Roto Moulders Limited, Happy Eaters Kenya Limited, Cherry Styles Limited, Roto Plc, Rino Tanques Lda, Roto Limited, Flame Tree Brands Limited, BuildMart Limited, Jojo Plastics Limited and Cirrus International FZC, being the companies which are wholly owned by the Issuer
USD / US Dollar	United States Dollar
VAT	Value Added Tax

WACC	Weighted Average Cost of Capital
Y/Y	Year on Year
FMCG	Fast Moving Consumer Goods

1. Key features of the transaction

This Listing Statement should be read in full along with other documents available for inspection for full appreciation of the subject matter.

1.1. The Listing

FTG Holdings is pleased to be joining the Nairobi Securities Exchange (NSE). With the consideration that raising of capital is not an immediate reason for the Group to list at the NSE, FTG Holdings has opted to list by way of introduction on the Growth Enterprise Market Segment (GEMS) of the NSE. Listing will provide a broader base of shareholders and added liquidity for existing shareholders and raise the profile of the Group. FTG Holdings will explore other capital raising avenues via the capital markets. The listing statement will be available for inspection at Burbidge Capital offices until and after the listing date.

1.2. Transaction Overview

Transaction	Listing by Introduction on GEMS segment of NSE
Issuer	FTG Holdings Limited
Shares	161,866,804 ordinary shares each of KES 0.825 each comprising the issued and fully paid up Share Capital of the Issuer.
Status	Upon listing, freely transferable ordinary shares ranking pari passu with each other.
Trades	Shares will be fully dematerialized and uploaded into the CDS prior to trading.
Compliance	The Listing is subject to the requirements of the Articles, The Companies Act, The Capital Markets Act, the Nairobi Securities Exchange Listing Manual and the Central Depositories Act, 2000.
Listing/ Introduction Price	KES 8.00 per share
Nominated Advisor	Burbidge Capital Limited
Market Segment	GEMS
Expected Listing Date	6 th November 2014
Governing Law	Kenyan Law

1.3. Basis for Setting Listing Price

The listing price has been determined by the Issuer in consultation with the Nominated Advisor on the basis of two valuation methodologies, namely:

- i. Discounted Cash Flow Methodology (DCF)
- ii. Multiples Valuation – Trading and Transaction comparable multiples.

Under the DCF methodology, we have applied the weighted average cost of capital (“WACC”) variant of the DCF methodology for valuing the equity value of the Group. This methodology involves the following stages:

- ✓ The calculation of free cash flows available for distribution to capital providers based on financial forecasts provided by management.
- ✓ An estimate of the terminal value of the enterprise at the end of the explicit forecast period.
- ✓ The calculation of the appropriate discount rate, or where more than one discount rate is deemed appropriate, discount rates.
- ✓ The discounting of the free cash flows to firm (“FCFF”) and terminal value using the above discount rate (or rates).

Trading multiples refer to the valuation multiples that comparable listed companies to FTG Holdings are currently trading at on their respective domicile stock exchanges. We utilized generally accepted financial software such as Bloomberg to source the summary of the corresponding multiples.

Transaction multiples refer to the valuation multiples for comparable historical transactions in the same sectors as FTG Holdings. Generally accepted financial software such as Zephyr was utilized to generate a list of transactions that have taken place in the various industries and identify their corresponding multiples.

This price is also the product of a private placement process which was completed on 22nd October 2014. The Listing Price is the price at which the private placing was completed. This is therefore a market driven price.

1.4. The Group

FTG Holdings Limited (“FTG Holdings”, “the Issuer” or “the Company”) is a Mauritius holding company, founded by Mr. Heril Banger. The Flame Tree Group is focused on designing and manufacturing of plastic bulk storage, processing and transportation tank systems as well as manufacturing cosmetics. The Group also has a presence in food processing and in the hardware retail sector. The Group is headquartered in Mauritius and has direct manufacturing presence in Kenya, Rwanda, Ethiopia, and Mozambique.

The Group’s products include:

- ✓ Tanks: Manufactured in Kenya, Rwanda, Ethiopia, and Mozambique;
- ✓ Cosmetics: Hand and Body Lotion, Nail polish and Hair Care products and Hair extensions;
- ✓ Food: Snacks;
- ✓ Polymer: Through its subsidiary Cirrus International FZC, the Group buys and sells polymer; and
- ✓ Hardware: Construction hardware items.

The Group operates in two main sectors: Manufacturing and Retail & Trading. The Group operates in 4 African countries as well as Dubai under the following subsidiaries:

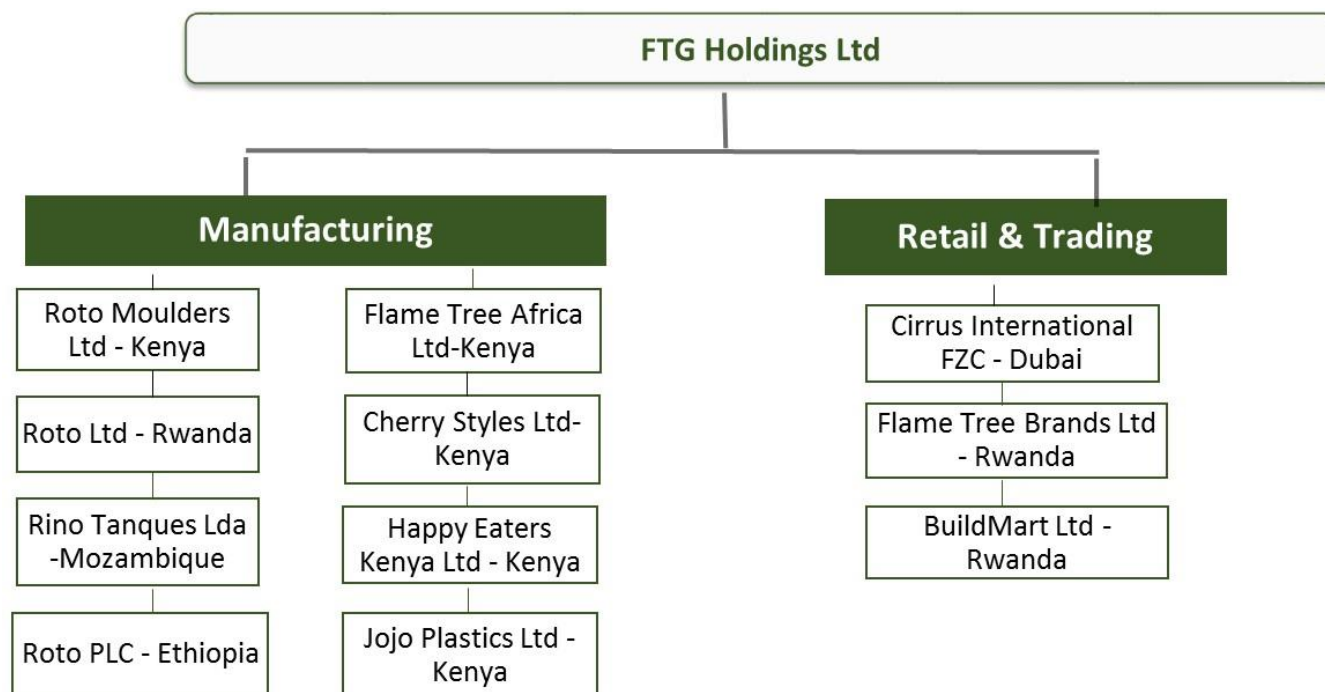
a) Manufacturing

- i. Roto Moulders Ltd Kenya, Roto Ltd Rwanda, Roto Plc Ethiopia: Under the Roto brand the Group operates in Kenya, Rwanda and Ethiopia. Established in 1989, Roto Tanks is among the leading brands in the water and sanitation solutions sector. Apart from being awarded a “superbrand” status in Kenya, the 'Roto' brand has become generic to the manufacture and supply of water tanks in countries like Ethiopia and Rwanda. In addition Roto Rwanda manufactures PVC pipes. (www.rotomoulders.com, www.rotorwandatanks.com, www.rotopl.com)
- ii. Rino Tanques Lda: Based in Mozambique, Rino manufactures quality water and sanitation systems. With a wide network of distributors in Pemba, in the North and Maputo in the South, Rino Tanques benefits from its wider product distribution in the country.
- iii. Flame Tree Africa Ltd: Based in Kenya, the company is a manufacturer of cosmetics and beauty products with a footprint in the East African region. The company manufactures cosmetic products of high quality and excellence. The Group’s cosmetics brands include “Zoe”, “Cerro” and “Alana” which have become popular in Kenya and Rwanda. (www.flametreebrands.com)
- iv. Cherry Styles Ltd: Based in Kenya, Cherry Styles manufactures synthetic hair extensions that include braids, weaves and wigs.
- v. Happy Eaters Kenya Ltd: A Kenya based company recently acquired by the Group to diversify its revenue stream. The company deals in the manufacture of snacks.
- vi. Jojo Plastics Ltd: Based in Nairobi Kenya, Jojo was recently incorporated to manufacture plastics water tanks and sanitation solutions to take advantage of a niche market of low cost water tanks. (www.jojo.co.ke)

b) Retail & Trading

- i. Flame Tree Brands Ltd: Based in Rwanda, Flame Tree Brands imports cosmetics products from Flame Tree Africa Kenya and sells them in Rwanda.

- ii. BuildMart Ltd: Based in Rwanda, the company deals in retail sale of hardware items and products. Plans are underway to source low cost hardware equipment to match the growing construction sector in Rwanda and the region.
- iii. Cirrus International FZC: Based in the UAE, the company trades in commodities and polymers. It obtains supplies from the Far East and sells them in East Africa and the wider Sub Saharan Africa regions.



1.5. Key Investment Highlights

1.5.1. Well-known brands

The Group has been able to establish strong brands in both their plastics and cosmetics lines of business. “Zoe” is their cosmetics brand being popular with women in the middle income bracket. “Roto” is a leading brand in tanks manufacturing particularly in Kenya, Rwanda and Ethiopia. Roto Tanks was awarded the “superbrand” status in Kenya in 2007.

Superbrands is the world’s largest independent arbiter of branding. It identifies and pays tribute to exceptional brands by recognising, rewarding and reinforcing leading brands from all over the world. The organisation runs the Superbrands award schemes and promotional programmes, each with a brand focused publication at its core. Superbrand status strengthens a brand’s position, adds prestige and sets the brand apart from its competitors.

1.5.2. Growing demand in the plastic products industry

The growing construction sector has resulted in increased demand of plastic water tanks and PVC pipes. Due to poor investment in water infrastructure, utility companies have been unable to cope with the increased demand for housing units being fuelled by a growing middle class. Agriculture also play a role in demand for water tanks especially in the rural areas, as rainfall shortages over the last few years have prompted farmers to store water when there is more rainfall. The demand of plastic packaging materials is also being driven by growth in industries such as the beverage manufacturing, food processing and industrial chemical among others.

1.5.3. Growing demand in the consumer products industry

According to the global economic prospects report for 2013, consumer spending accounts for some 60% of GDP in Sub Saharan Africa and is a major contributor to overall demand growth. Strong domestic demand has allowed Sub Saharan African economies to continue their robust growth, despite subdued global demand conditions. As African economies are growing, the wealth is disseminating and Africa now has the fastest growing middle class in the world. The growing middle class is expected to fuel consumption in the near, medium and long term.

1.5.4. A wide range of products

The Group has a wide range of products under its plastics, cosmetics and food processing lines of business. The wide range of products helps the Group cater for different consumer segments and varying consumer needs. The diversified Group segments, plastics and FMCG, enables it to stabilize its revenues and reduce dependency on one industry.

1.5.5. Regional manufacturing presence

The Group has presence in 4 African countries and Dubai, thereby reducing the economic and political risk that would be associated with operating in one country. Direct manufacturing presence helps the Group price their products competitively due to avoidance of import duty being incurred. Further the direct manufacturing presence enables the Group to meet the varying consumer needs and preference in the various countries.

1.6. Reasons for Listing

The primary purpose of the listing is to offer FTG Holdings and its shareholders the benefits of being listed on the stock market including inter alia, liquidity, price discovery and branding advantage.

1.7. Key Listing Statistics

Listing price per share	KES 8.00
Par value of each share before the share split	KES 5
Total number of issued shares before the share split	22,700,586
Share split ratio	1: 6.06061
Total number of issued shares after the share split	137,579,311
Par value of each share after the share split	KES 0.825
Additional new shares issued through private placement	24, 287,493
Total number of issued shares after shares split and private placement	161,866,804
Net profit for the twelve (12) months ended 31 st December 2013	KES 149,047,389
Earnings per share ("EPS") for the twelve (12) months ended 31 st December 2013 before share split	KES 6.57
Earnings per share ("EPS") for the twelve (12) months ended 31 st December 2013 after share split and new shares issued	KES 0.92

1.8. Transaction Timetable

Approvals from the NSE	15 th October 2014
Deadline for uploading the shares into CDSC	4 th November 2014
Dispatch of Listing Statement to shareholders	5 th November 2014
Listing and Commencement of Trading at the NSE	6 th November 2014

1.9. Expenses of the Listing

The expenses of the Listing which will fall under the account of the Issuer are estimated at KES 11,180,500.

Professional fees and related costs	KES ¹
Nominated Advisor	4,432,500
Reporting Accountants	3,000,000

Legal Advisors	3,000,000
Registrars	250,000
NSE listing fees	250,000
Miscellaneous Expenses (Printing)	250,000
Total	11,180,500

¹These figures may be subject to change. The expenses of the Listing amount to 8% of the Group's total fund raised.

*KES 88.65 / USD have been applied for the nominated advisor fee of USD 50,000.

1.10. Lock-In Period for Major Shareholders

As a sign of commitment to the growth of the Group and confidence in the long-term fundamentals of FTG Holdings, the majority shareholder being Heril Bangera has undertaken to lock - in 60% of his shareholding for a period of 24 months after the GEMS listing.

1.11. Dividend Policy

FTG Holdings has a policy to pay dividends when permitted by law and subject to the consideration of the results of its operations, financial position, investment and liquidity requirements, legal reserves and minimum capital requirements.

The declaration, amount and payment of dividends is recommended, subject to the limitations set forth above, by the Board of Directors, and approved by majority vote of the Shareholders at an Annual General Meeting of the Group.

The Group intends to pay dividends to shareholders when capital is not being raise to invest into expansion.

1.12. Investor Relations Policy

The Group intends to adopt an open policy of full disclosure to investors and has already put measures in place to facilitate this. As a minimum, it intends to offer quarterly management meetings following the listing.

2. Economic Overview

2.1. Kenya

The country's Gross Domestic Product (GDP) expanded by 4.7 per cent in 2013 compared to 4.6 per cent in 2012. This performance was supported by: the stable macroeconomic environment for the better part of the year; low and stable inflation supported by improved supply of basic foods, lower international oil prices and lower costs of electricity; infrastructural development and the construction sector. The macroeconomic stability witnessed in 2013 continued into the first quarter of 2014 and is likely to be maintained to the rest of the year.

Confidence in the economy remains strong. Specifically, the latest sovereign rating by Moody's conducted in May 2014 placed Kenya at "B1 with stable outlook". In addition, the entry into the international capital markets through issuance of a Sovereign Bond has boosted Kenya's rating and enhanced the capacity for a faster rollout of public investments. The Bond was massively oversubscribed at 440 percent while the realised yields were comparably lower relative to those on recent issues of similar bonds in the region. Similarly, purchases of equity at the Nairobi Securities Exchange by foreign investors maintained the long-term upward trend from January 2013 when the purchases amounted to an equivalent of KES 5 billion, rising to KES 11.5 billion in June 2014. Diaspora remittances also remained resilient during the period, rising from USD 113.41 million in April 2014 to USD 119.66 million in May 2014.

The headline inflation in 2013 is estimated by the *Africa Economic Outlook 2014* to be 5.7 down from 9.4 in 2012. The continued stability in the Kenya shilling exchange rate will also help to keep domestic inflation at low levels although there could be some short term pressures due to increased volatility in international oil prices and the recent enactment of the VAT Act 2013. The revision of the VAT Act removed a number of VAT exemptions on most consumer goods raising their prices and temporarily adding pressure on inflation. In the month of June 2014, Overall 12-month inflation rose from 7.30 percent in May 2014 to 7.39 percent in June 2014. The increase in the overall inflation in June 2014 is largely attributed to higher fuel inflation. In the month of July 2014, the average interbank rate increased to 9.69 percent in the week ending July 2, 2014 from 6.87 percent recorded in the previous week.

In 2013, the CBK has generally pursued a prudent monetary policy, which has helped to contain inflation at single digits. CBK has eased its monetary policy stance since July 2012, reducing the central bank rate (CBR) from 18% in June 2012 to 8.5% currently. This has led to relative stability of domestic prices and the exchange rate over the last two years. The movements in short-term interest rates were generally aligned to the CBR while Open Market Operations were sustained to support liquidity management. Private sector credit expanded to a record 17.4% in 2013, from 7.7% in 2012. Commercial banks' lending rates declined from an average of 19.73% in 2012 to about 16.80% in 2013, which was consistent with the monetary policy stance. The average interbank rate increased to 9.69 percent in the week ending 2nd July, 2014 from 6.87 percent recorded in the previous week. At its 8th July 2014 meeting, Central Bank of Kenya decided to keep the benchmark interest rate at 8.5 percent for the fourteenth consecutive meeting, as inflation remains within the target range. Policymakers also decided to set the new Kenya Banks' Reference Rate at 9.13 percent.

The exchange rate has remained stable supported mainly by foreign exchange inflows through diaspora remittances and increased foreign investor participation in the Nairobi Securities Exchange as well as enhanced confidence following successful issuance of the Sovereign Bond in June 2014. It fluctuated within a narrow range of KES 87.38 and KES 87.92 against the USD in June 2014 compared to a range of KES 86.87 and KES 87.86 in May 2014. The CBK level of usable foreign exchange reserves increased from USD 6,308.23 million (equivalent to 4.28 months of import cover) at the end of April 2014 to USD 6,501.37 million (equivalent to 4.34 months of import cover) as at 7th July, 2014. The build-up in foreign exchange reserves provides adequate cushion for the exchange rate against temporary shocks. This build-up of foreign exchange reserves will continue as the Government utilizes the proceeds of the Sovereign Bond.

2.2. Rwanda

Real GDP growth slowed down to 4.6% in 2013 from 7.3% in 2012 due to the lower than programmed performance in agriculture and the aid-related delays in the implementation of strategic public investments

following the suspension of budget support disbursements in 2012. Growth is projected to recover to 7% and 7.4% in 2014 and 2015 respectively (*Africa Economic Outlook 2014*) due to the recovery in services, improvement in agriculture productivity and sustained implementation of the public investment programme. In April 2013, Rwanda issued its inaugural sovereign bond, a ten-year Eurobond of USD 400 million, with a yield of 6.9%. The bond proceeds are being used to repay current debt, which was acquired at higher interest rates, and finance strategic public investments. This successful issuance, which was also oversubscribed nine times, is testament to Rwanda's strong track record of implementing prudent macroeconomic policies.

The Rwandan economy continues to recover from the slowdown in 2013 as indicated by the good performance registered in the first two quarters of 2014. In 2014 quarter 1, the economy grew by 7.4% as a result of good performance in industry (9%), service (8%) and agriculture (5%). Available information on key indicators of economic activities indicates that the recovery continues in 2014 quarter 2. For the first two months of quarter 2 (April- May) total turnovers of industry and services increased from 10.7% in 2013 to 20% in 2014.

Headline inflation continues to be low and stable on the account of sustained and well-coordinated monetary and fiscal policies, limited inflationary pressures from trading partners including stable international oil prices and good performance in the economy. Inflation decelerated to 1.4 % in June from 1.9% in May, 2.7% in April 2014 and 2.43% in January 2014. Inflation is expected to be around 3% in the next quarter.

The good performance is supported by high increase in the credit to the private sector as a result of National Bank of Rwanda (BNR) accommodative monetary policy implemented since June 2013 and the fiscal liquidity injection, among others. In the first five months of 2014, new authorized loans increased by 46% compared to a contraction of 13.7% the same period of 2013, amounting to RWF 269.8 billion compared to RWF 185.1 billion. The outstanding credit to the private sector increased by 8% between December 2013 and May 2014 compared to 4% in the same period of 2013. In line with monetary policy stance, money market interest rates have been declining due to comfortable liquidity conditions. Treasury bills rate declined from 10.8% in June 2013 to 5.92% in May 2014 while the lending rate declined from 17.65% in June 2013 to 17.23% in May 2014 and the deposit rate fell from 10.61% to 10.1% during the same period. On 25th June 2014, the Monetary Policy Committee and Financial Stability Committee of the BNR revised downwards the Key Repo Rate from 7% to 6.5% citing the need to further ease the monetary policy stance to continue sustaining economic recovery.

In the first half of the year, the RWF slightly depreciated against USD (1.7%), EUR (0.5%) and GBP (3.2%) while appreciating against Kenyan, Ugandan and Tanzanian Shillings by 1.3%, 0.6% and 4.8% respectively. The depreciation against hard currencies was contained, thanks to the increase in foreign capital inflows. Between December 2013 and May 2014, total foreign capital inflows reached USD 264.99 million against USD 232.85 million for the same period of the year 2013.

2.3. Mozambique

Mozambique's economy remained one of the most dynamic on the continent in 2013, with a 7% rate of real gross domestic product (GDP) growth, in spite of the major flooding which occurred during the first quarter and the politico-military low-intensity confrontations between government and the opposition movement. The buoyant economy remains driven by mega-projects, predominantly funded by foreign capital, focused on aluminium, extractive industries, and the energy sector. The extractive sector was the fastest growing in 2013 at 22%, propelled by coal exports. Another continued growth driver has been increased public expenditure – scheduled to reach 36.8% of GDP in 2014 – primarily benefiting the construction, services, and transport and communications sectors. The steady gains in GDP per capita – up 44.7% since 2010, and now estimated at USD 640 (United States dollars) – is fuelling domestic demand, although this is centred exclusively on urban areas, where about 20% of the population lives. The financial sector follows behind the extractive industry as the most dynamic. It expanded by 17.7% in 2013, supported by increased household income and credit expansion. The agriculture sector, which employs 70% of the population, remains relatively sluggish presenting 4.6% growth in 2013. Assuming a stable political environment, prospects are positive for 2014 and 2015, with growth forecast to remain above 8%, supported by increased coal production, continued public investment and the forecast start of the preparatory work for the multi-billion dollar liquefied natural gas (LNG) plant.

The Bank of Mozambique continues to follow a prudent but active monetary policy stance. Despite weather-related exogenous shocks, inflation has remained under control at low levels, with the 12-month average ending the year at 4.15%, well below the central bank's initial 7.5% target. The quicker than expected recovery in agriculture following the severe flooding and the current weak valuation of the South African rand (ZAR) in relation to the Mozambican metical (MZN) will continue to contain inflation, offsetting the expansion of credit to the private sector. Mozambican annual consumer inflation slowed to 2.75 percent in June of 2014 from 2.91 percent recorded in the previous month. A year earlier the annual inflation rate was 4.86 percent. Upward inflationary pressures came mostly from higher prices of education (5.85 percent) and food.

The central bank's monetary easing which it adopted at the end of 2012, continued in 2013 with a 125 basis points (bps) cut on its Standing Lending Facility (SLF). The SLF is now at 8.25%, while the Standing Deposit Facility was also reduced by 75 bps to 1.5%. Credit to the private sector continues to increase, expanding by 32.9% in the year. However, and in spite of the SLF cuts, the average one-year lending rate offered by commercial banks has risen since February 2013 and it remained at 20% at the years close. At the same time, the spread between the average one year deposit rate (9.25%) and the average lending rate widened to 10.75%. The resilience of the average lending rate signals considerable credit market distortions and limited monetary policy transmission.

The metical has remained relatively stable against the United States dollar (USD) since the beginning of 2013, losing just 1%. This helped control the cost of fuel imports, while the currency's 15.7% appreciation against the South African rand in the same period contained inflationary pressures deriving from food and other imported consumer goods. The Mozambique Metical decreased to 31.05 in July from 31.45 in June of 2014.

2.4. Ethiopia

In the 2012/13 fiscal year (*Ethiopia's fiscal year runs from 8 July to 7 July of the next year*), Ethiopia's economy grew by 9.7%, the tenth year in a row of robust growth. In 2012, Ethiopia was the twelfth fastest growing economy in the world (*World Bank 2013*). Average annual real GDP growth rate for the last decade was 10.9%. Agriculture, which accounts for 42.7% of GDP, grew by 7.1%, while industry, accounting for 12.3% of GDP, rose by 18.5% and services, with 45% of GDP, increased by 9.9% in 2012/13. This momentum is expected to continue in 2013/14 and 2014/15, albeit at a slower pace because of constraints on private-sector growth.

In 2013, in an effort to combat inflation, the government pursued a tight monetary policy stance using base money as the nominal anchor to control monetary expansion. This measure, in the context of a slowdown in global commodity prices, resulted in annual consumer price inflation of 7.9% in November 2013, compared to 39.2% and 15.6% in November 2011 and 2012, respectively. The government's determination to reduce inflation was further reflected in the pursuance of prudent fiscal policy focused on strengthening domestic resource mobilisation and reducing domestic borrowing. The strong fiscal stance, particularly measures to improve tax administration and enforcement, contained the fiscal deficit at 2% of GDP in 2012/13 compared to 1.2% of GDP in 2011/12. Ethiopia's inflation rate fell to 8.5 percent in the year to June from 8.7 percent the previous month, due to a slowing rise in food prices, official data showed. The Central Statistics Agency said food price inflation slowed to 6.2 percent in the year to June from 6.3 percent in May, owing to a drop in cereal prices. Inflation of non-food items also slowed to 11 percent in June from a revised 11.5 percent the previous month.

During the second quarter of the fiscal year 2013/14, average savings deposit and lending rates remained unchanged at 5.4 percent and 11.88 percent, respectively. Weighted average time deposit rate, however, registered annual increase of 5.2 percentage point. Weighted average yield on T-bills also slightly rose from 1.53 percent to 1.93 percent on annual basis. Considering annual headline inflation of 7.7 percent in the quarter under review, all deposit rates and the T-bill yield adjusted for inflation remained negative while average lending rate was positive in real terms.

During the second quarter of 2013/14, the average official exchange rate of the Birr depreciated by 4.8 percent and 1.1 percent compared to last year same quarter and the preceding quarter, respectively, to reach Birr 18.94/USD. The Ethiopian Birr increased to 19.81 in July from 19.59 in June of 2014. The Ethiopian

Investment Agency and regional investment Offices issued investment licenses to about 1,735 projects with a total capital of Birr 21.5 billion during the first quarter of 2013/14.

3. Overview of the Kenya Equity Market

In 2013 the listed equities market, the Nairobi Securities Exchange (NSE) closed the year as the top performing African bourse according to the MSCI index (an index created by MSCI that is designed to measure equity market performance), also higher than the MSCI frontier markets index performance (26.32% CY13). Stability in the macro-economic environment, the peaceful outcome of the 2013 general election and significant corporate actions over the year bolstered investors' confidence in Kenya's listed equities market. The NASI rallied 44.1% closing at 136.65 points. In the year, equity turnover climbed 76.7% to a multi-year high of USD 1.8bn as a result of increased foreign investor participation. Net foreign inflows stood at USD 392.60m (previous year, USD 268.81m. In addition, 2013 saw the introduction of the Growth Enterprise market segment on the NSE targeting mid-size, high growth companies. The GEMS market attracted its first listing a real estate developer, Home Afrika, in July 2013 with greater expectations of more listings in 2014. Of other notable actions in the market, was the delisting of Access Kenya Group following a successful take-over bid by Dimension Data Holdings (42.0% premium), the delisting of CMC holdings following the takeover by Dubai-based conglomerate Al-Futtaim Group and lastly the bidding to acquire Rea Vipingo.

In the first half of the year, January to June 2014, investor wealth at the NSE grew by KES 186 billion affirming the bourse's position as one of Kenya's most dependable investment options. Market capitalisation, the value of all listed stocks, rose 10 per cent to KES 2.01 trillion helped by share price appreciation in key insurance, banking, and telecommunications sectors. Small and medium-sized counters, however, recorded higher growth than the large ones as reflected in the contrasting trajectories of the two main indices used to measure performance at the Nairobi bourse. The NSE 20 Share Index — listing of top players in each segment of the market — dropped 0.9 per cent to stand at 4885 points even as the NSE. All Share Index rose 10 per cent to 150 points from 136 points in January.

In the month of June 2014, the reconstituted NSE 20 index edged higher by 0.1% to 4,885.04 points while equity turnover slumped to USD 209.1m (21.9%) and monthly net foreign inflows rose steadily to USD 28.3m (previous month USD 26.65m). Foreign investors were net buyers on KCB (USD 15.7m) and Equity (USD 13.8m) Banks and largely sold Safaricom (USD 8.6m) for the third consecutive month. During the month, DTB Bank launched its KES 3.6bn rights issue, with the offer priced at KES 165.00, a 31.3% discount on 30th June closing price. 2H2014 is expected to witness increased activity on the bourse, as a number of private and public listed firms seek to raise funds through IPOs, right issues and corporate bonds. Some of the lined up right issues include Kengen (c.KES 15 bn), Uchumi Supermarket (c.KES 1bn) , National Bank (c.KES 10bn), NIC bank (undisclosed) and CIC insurance (c. KES 3bn) . Other fund raises via IPO include the NSE self-listing (KES 850m) and listing on the GEMS by Mayfox Mining expected to be concluded before the close of the year.

4. Overview of Plastics Industry and FMCG Industry

4.1. Plastics Industry

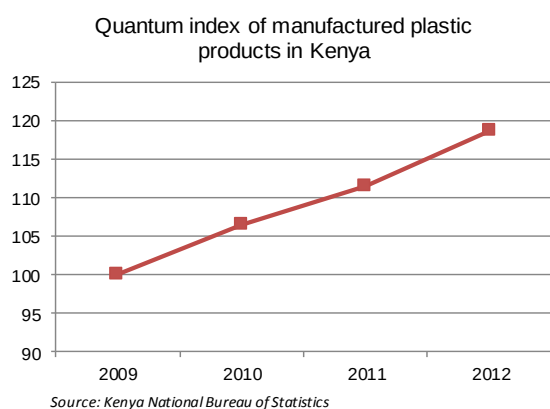
According to an industry feature of the East Africa plastics industry by The *EastAfrican* (March 15-21, 2014), the demand for consumer plastic products has been growing at an average rate of 20-30 per cent annually. As a result, imports of plastic materials and resins into Kenya and other East African countries have been registering a steady growth in the last two years. Analysts believe that in the coming years demand for plastic and packaging goods and machinery will further grow as the region's enterprising business community embarks on strengthening the country's manufacturing base by importing machinery and raw materials to set up manufacturing plants to meet the rising demand for plastic and packaging solutions in East Africa. According to an industry feature "Indian plastics firms see growing opportunity in Africa" by Steve Toloken, Indian companies say they are picking up substantial business in Africa, with exports in the sector. This growing demand witnessed by Indian companies indicate an opportunity for local based companies to exploit the increasing demand.

Industry experts identify the expanding middle with more purchasing power as being one of the broad demand drivers of plastics products in African countries. Strong economic growth in the past two decades has helped reduce poverty in Africa and increased the size of the middle class. Africa's middle class has tripled over the last 30 years. Africa Development Bank estimates that the African middle class is expected to grow to 1.1billion in 2060.

Another factor contributing to the increased demand of plastic products and specifically the plastic water storage and sanitation solutions is the increased need of urban housing. By 2016, over 500 million Africans will live in urban centers, and the number of cities with more than 1 million people is expected to reach 65, compared with 52 in 2011. According to UN-Habitat, Kenya is projected to have 53% of its population living in urban areas by 2030. In her speech on 21st March 2014, the Minister for Lands Housing and Urban Development Ms. Charity Ngilu disclosed that Kenya is targeting to build some 300,000 new housing units in the next three years. The construction sector is causing the demand of plastic tanks and PVC pipes with the persistent poor investment in water infrastructure by utility companies being unable to cope with the increased demand of housing units.

Erratic weather patterns, dropping in the water table, deforestation and rapid growing population are some of the factors that have resulted in water scarcity in African countries. WWF International estimates that 14 countries in Africa are already experiencing water stress. This has in turn resulted in escalating demand for plastic tanks and related plastic water storage solutions.

Demand for plastics packaging materials is being propelled by the demand of packaging materials from other industries such as the pharmaceutical, construction, beverage, edible oil, paints cosmetics lubricants, industrial and consumer chemicals.



According to the Kenya association of manufacturers, the plastics industry in Kenya is well-developed and produces goods made of polyvinyl chloride (PVC), polyethylene, polystyrene, and polypropylene. All materials are imported in the form of granules. Available statistics indicate that there are over 173 registered industrial establishments producing various plastics and rubber products in the country out of which 134 are in the plastics industry and are involved in the production of various plastics articles such as PVC pipes and fittings, packaging bags, plastic water tanks, plastics shoes, crates, bottles, floor tiles, household wares and containers.

According to African Business a special feature on the plastic industry (*“The Plastics Industry in Africa”*), Uganda imports a majority of its plastic and packaging requirements from regional and international suppliers and has emerged as a major importer of plastics in the East Africa region. Kampala, the business centre of Uganda, has become a centre for packaging industry as more and more manufacturing units are being set up in and around the city to meet the rising demand for plastic goods like melamine utensils, plastic household foods, plastic bags, toothbrushes etc.

In the East Africa region, one of the largest markets for plastics and packaging goods is Tanzania. The country has been importing plastic goods and machinery from across the world in increasing quantities over the last five years and has emerged as a lucrative market for plastic goods in the region.

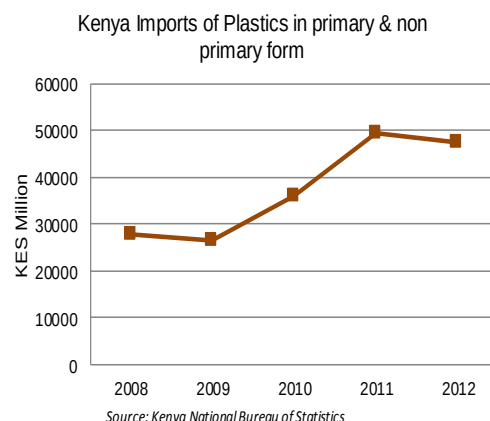
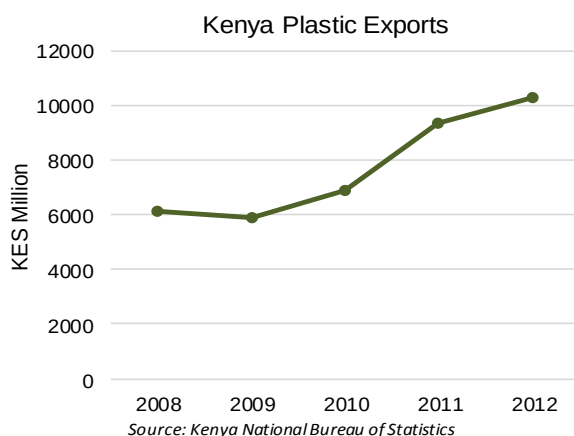
According to the same report (*“The Plastics Industry in Africa”*), Ethiopia has also emerged as a major importer of plastic goods and machinery in recent times. Traders and wholesalers in Ethiopia have been importing a wide variety of plastic goods and machinery including moulds for plastics, GI Pipes, Dies & Moulds for Plastic Films, Plastic Packaging material, Kitchen Plastic Products, Pipes & Fittings etc. The sheer size of the market makes Ethiopia an attractive market in Africa for the plastics industry.

Ever since Mozambique’s plastics factories were privatized in 1995 and 1996, there has been an increase of activity in the sector. New manufacturing plants have come up around the country to meet the demand for plastic goods for the local and regional markets. With a huge domestic market, Mozambique is indeed an attractive market for plastics and packaging industry. Inexpensive plastic products of all kinds enjoy strong consumer demand in Mozambique and other regional markets. As a result, Mozambique has emerged as a major importer of plastics production machinery (PME) as well as plastics material resins (PMR).

The plastics and rubber sector in Kenya registered exports production turnover of KES 10.2 billion in 2012, which was 2 per cent of the exports turnover in Kenya. The plastic industry exports different varieties of plastics meant for containing, preserving and packaging in many countries within Africa and other continents.

According to the Kenya National Bureau of Statistics, the imports of plastics in primary and non-primary form have been increasing to serve the growing demand. Estimates show that the industry was worth KES 5.8 billion as at July 2007. The sector has made investments in excess of KES 43 billion in Kenya.

The plastic industry also serves more than 90 per cent of other locally manufactured products such as dairy, agriculture, horticulture, hotels, packaging, health and pharmaceutical industries, retail outlets, general consumers and many more



4.2. FMCG Industry

Growth in the FMCG sector in Africa is driven by growth in consumer spending. Since 2000, Sub-Saharan Africa has experienced rapid growth in consumer spending of four percent Compound Annual Growth Rate (CAGR), reaching nearly USD 600 billion in 2010. Consumer spending accounted for more than 60 percent

of Sub-Saharan Africa's buoyant economic growth in 2013 (*World Bank*). A more affluent lifestyle associated with the middle class has contributed to increased domestic consumption. Compounded annual GDP growth per capita in Africa is expected to average 5.5%-6% from 2014 to 2015. This is expected to boost consumer spending in the continent by 35%, over this period. In East Africa, Nairobi continues to be the consumer juggernaut of the region with an average per capita expenditure of USD 1,906 (KES 163,916), (*Economist's Intelligence Unit (EIU)*). Consumer spending in Africa is expected to rise to nearly USD 1 trillion by 2020 (*Euromonitor 2011*).

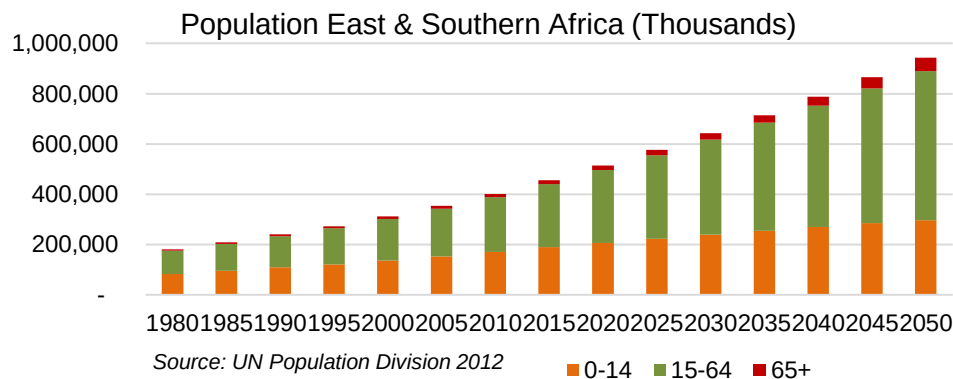
Recent development in the FMCG industry in Africa:

- ✓ More than 30 of the top global FMCG manufacturers have an established presence in Africa; and
- ✓ Many retail giants, such as Carrefour, Shoprite, Wal-Mart's Massmart chain and Edgars are expanding into more African countries while local super market chains example Kenya's Nakumatt are expanding within the region.

The rapid and sustained rise in consumer spending is being fuelled by three key forces:

i. A population forecast to reach almost 1 billion by 2050 (*UN Population Division, 2012*) and growing working age population.

In 2010, East and Southern Africa had an estimated population of more than 400 million, which is estimated to increase to 940 million (approx.1 billion) by 2050. Furthermore, between 2010 and 2050, the region's economically active population will grow from 54 percent of the continent to 63 percent—a striking contrast to more mature continents whose populations are aging and moving into the dependent category (i.e., 65 years or older). Expansion of the economically active population will lead to increased demand for goods and services. In theory, increase in proportion of working age population relative to total population frees up resources guaranteeing a consumer base for years to come.



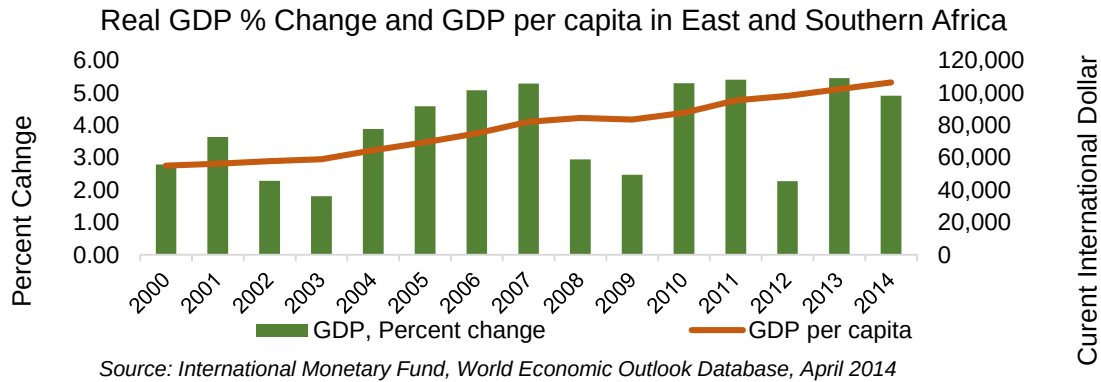
ii. Rapid urbanization

With 40% of its population living in cities, Africa is more urbanized than India (30%) and nearly as urbanized as China (45%). By 2016, over 500 million Africans will live in urban centres, and the number of cities with more than 1 million people is expected to reach 65, compared with 52 in 2011. This increasing urbanization will help ensure consumer-driven growth opportunities as urban spending is increasing twice as fast as rural spending. Urban per capita incomes are, on average, 80% higher than those of African countries as a whole. Further, because cities are more densely populated, consumers are easier to reach. This means companies catering to African consumers can more efficiently reach their target markets. In SSA, the urbanization rate increased from 24.1% in 1980 to 36.3% in 2010. For SSA as a whole though, the urbanization rate is projected to continue to increase at a rapid pace, reaching 43.2% in 2025.

iii. A fast growing middle class segment

As defined by the African Development Bank as "anyone who spends between USD 2 and USD 20 a day in purchasing- power parity terms", the bank estimates that more than 34% of Africans (more than 300 million

people) fit this description, and will grow to 42% (more than 1 billion people) in 2060. This trend is evident in the East and Southern African region as illustrated by the graph below. A total of 27 African countries have already attained “middle income” status. It is estimated that if current growth rates are sustained, 13 more could reach middle-income status by 2025. The fact that more Africans now have income above the international poverty line suggest they can afford to spend a smaller % of their income on basic goods and increase their spending on other secondary needs such as cosmetics and snacks.



Three key trends will further enable consumer to buy more and allow companies to reach these consumers:

i. A healthier and more stable business environment

Fewer conflicts, more democratic elections, higher economic growth rates and improved business regulation make Africa increasingly business-friendly every year. This fact has been recognized by the World Bank 2013 Ease of Doing Business report, out of the 50 countries with the biggest improvements in business regulatory practices since 2005, the largest share – a third – are in Sub-Saharan Africa. Further, the continent’s governments have improved macroeconomic stability by reducing the collective inflation rate from 22% in the 1990s to 8% since 2000. During this period, African governments collectively cut their combined foreign debt from 82% of GDP to 59% and shrunk their budget deficits from 4.6% of GDP to 1.8%.

ii. Improving access to consumers via developed retail sectors and mobile technologies

Consumers in Africa are getting easier to reach due to a growing retail sector and a remarkable uptake of mobile services. The retail sector is performing strongly and prospects are favourable, underpinned by a growing middle class, the construction of new shopping malls and the expansion of the local and international supermarket chains. Further significant mobile adoption by consumers has made it easier for companies to reach consumers through mobile marketing, competitions and promotions (for example, M-Pesa for mobile money).

iii. A loosening of trade restrictions and regional integration

Nontrade barriers between Sub-Saharan nations are coming down, double taxation agreements and investment promotion pacts have been made with more such pacts looming in the near future. There has been a rise in inter-governmental organizations such as: the Southern African Development Community (SADC), comprised of South Africa, Mozambique and Zambia among others and the East African Community (EAC), consisting of Kenya, Tanzania and Uganda. These organizations have fostered trade, standardized passports to promote travel and generally spurred economic activity between their member states.

5. The Business

5.1. Historical Background

Mr. Heril Bangera incorporated the Group's first company in 1989, Roto Moulders Limited. This was the initial step of the Group's manufacturing venture in plastic processing. Roto Moulders started operations in 1991, initially supplying plastic water tanks. Roto Moulders over the years increased its product range and established its manufacturing facilities in Rwanda, Ethiopia, and Mozambique thereby making it a regional player in the ever growing plastic industry.

In 2008 the Group took its first step in the FMCG sector with Flame Tree Africa Limited. Under the brand "Zoe" it started manufacturing and marketing various cosmetic products including body lotions and petroleum jellies, shampoos etc. In 2011, through Cherry Styles Limited, the Group started manufacturing synthetic wigs and extensions to cater to the vibrant African hair industry.

The Group has recently ventured into the food industry. Through the subsidiary, Happy Eaters Kenya Ltd, incorporated in 2012, the Group processes various snack products such as potato crisps and peanuts.

5.2. Timeline



5.3. Products and Service Offering

5.3.1. Tanks and Plastic Products

FTG Holdings is a manufacturer of plastic tanks and plastic products for both the domestic and industrial use. The Group has expanded its product portfolio to 100 over its years in operations to satisfy dynamic market needs and meet growing demand for both storage and sanitation solutions. In terms of originality, the Directors believe that the Group was the first to introduce the double-layered tanks, hinge-type lockable lids, plastic septic tanks and ball-shaped plastic underground tanks in the East Africa region. The Group's products include:

Storage Tank Products

- ✓ Cylindrical vertical water tanks from 100 to 24,000 litres
- ✓ Horizontal cylindrical water tanks 1,000 litres and 2,500 litres
- ✓ Underground water storage tanks 2,300 and 4,600 litres
- ✓ Rectangular loft tanks - 230 litres to 920 litres
- ✓ Septic tanks from 1,700 to 6,000 litres

Domestic & Industrial Products

- | | |
|--|---|
| ✓ Roto toilets and toilet huts | ✓ Water carrying drums of various sizes |
| ✓ Pit latrine slabs (circular and square) | ✓ Flower pots |
| ✓ Pallets of various sizes | ✓ Milk cans |
| ✓ Crates, boxes and trays of various sizes for the food and horticultural industries | ✓ Waste disposal bins of various sizes and shapes |
| ✓ Sliver cans for the textile industry | ✓ Materials handling containers |
| ✓ Cattle troughs | ✓ PVC drainage pipes |
| ✓ Refugee kit boxes | ✓ Other custom made products |

5.3.2. FMCG Products

i. Cosmetics

- ✓ Skin Care Products: Hand and body lotions (Zoe and Alana), Glycerin and Petroleum jelly
- ✓ Hair Care Products: Hair food, Styling gels, Treatment, Curl activator, Shampoo, Conditioners, Braid spray and Pink lotions.
- ✓ Nail Care Products: Nail polish and Nail polish removers (Zoe and Cerro).

ii. Hair (Siora)

- ✓ Braids, Weaves, Wigs and Hair Extensions.

iii. Snacks (Happy's golden)

- ✓ Crisps, Chevda, Peanuts, Bhusu, Potato Stick and Ghatia.

5.3.3. Trading Products

- ✓ Hardware: The Group is one of the leading distributors in Rwanda of various hardware items including: Tanks, Pipes, Tools & Equipment and Specialty items used for the construction industry.
- ✓ Polymers: Over the last few years Cirrus International has evolved as a leading trading company in petrochemicals. Trading between South Korea, Thailand, France, and South Africa focused towards Sub-Saharan Africa.

5.4. Clients

5.4.1. Tanks and Plastics Segment clients

The Group distributes its products through hardware networks; through key retail outlets and provides door-to-door deliveries although some of its customers purchase the products directly from the Group's operating premises. FTG Holdings has a fleet of distribution trucks and vans that ensure the Group is able to supply to its customers at various locations. In Kenya, the Group's fleet consists of 28 own trucks & 2 hired trucks and 6 pickups.

FTG Holdings' client list is diverse and includes customers from a variety of industries and institutions including:

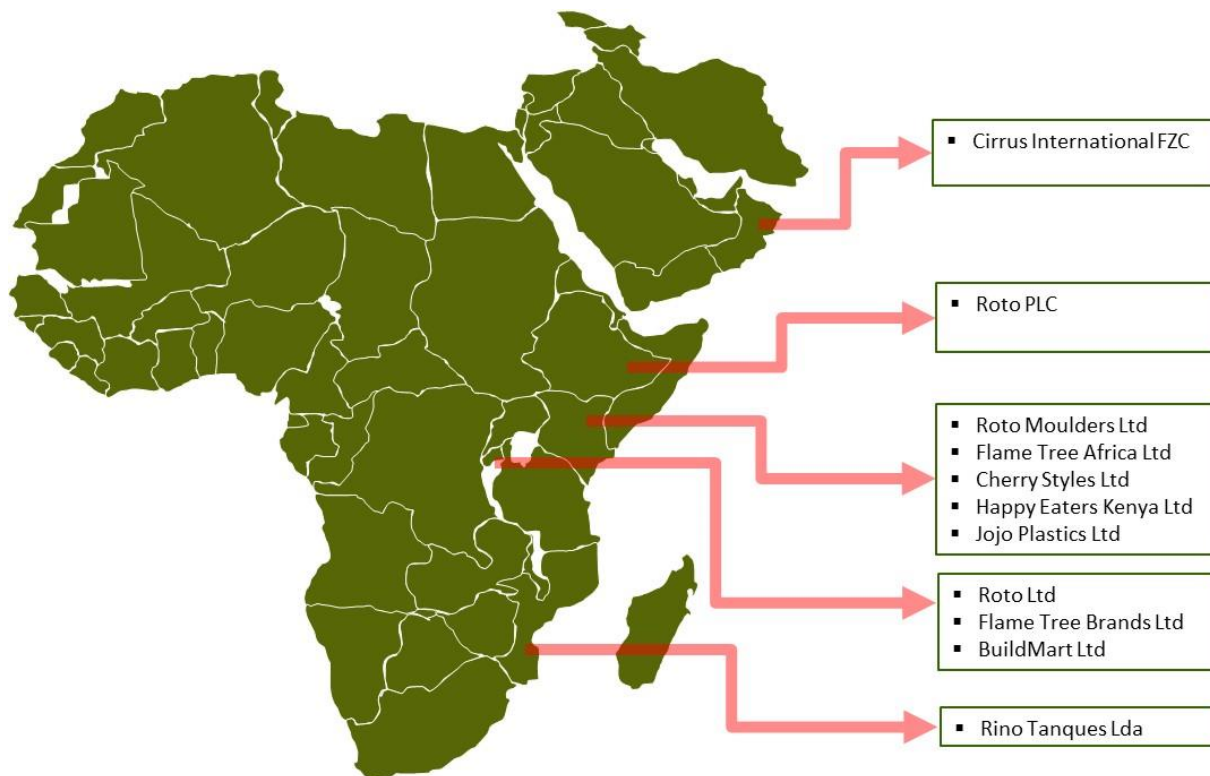
- | | |
|---|--|
| ✓ Construction | ✓ Government organization |
| ✓ Pharmaceutical | ✓ Non-government organization (NGOs) |
| ✓ Textile | ✓ Educational centres and Institutes of Higher Learning |
| ✓ Food processing | ✓ Medical centres |
| ✓ Beverage manufacturing | ✓ Hotels and restaurant |
| ✓ Diary | ✓ Hardware wholesaler and retailers |
| ✓ Floriculture & Horticulture | ✓ Key retail outlets (Nakumatt, Tuskys, Uchumi, and Naivas among others) |
| ✓ Livestock rearing | |
| ✓ Commercial property developments | |
| ✓ Residential developments and housing projects | |

The Group's clients are spread across Sub Saharan Africa. The Group has direct marketing presence in Kenya, Rwanda, Ethiopia, and Mozambique.

5.4.2. FMCG (Cosmetics and Food) segment clients

The Group distributes its cosmetic products through; Major retailers, County based retailers, Beauty outlets across various regions and Government agencies/ Canteens among others. The Group distributes its food products through major retailers and mini supermarkets based in various counties thought the country.

5.5. Regional Presence



5.6. Board of Directors

The Board is made up of five (5) Directors, 1 from the founding Bangera family, 2 Mauritian Directors 1 Tanzania Director and 1 Kenyan Director. The Board is responsible for the strategic direction of the Group and establishing and maintaining the system of internal controls so that the objectives of profitable growth and

shareholder value are realized. The Board of Directors meets at least quarterly in order to monitor the implementation of the Group's planned strategy and review it in conjunction with its financial performance. Board committees also exist to handle specific reviews and operational issues. There are plans to bring on board more directors from the regional operating units, while maintaining a balance between executive and non-executive directors for good corporate governance.

- **George Carmichael Theobald – Chairman**

George ('Bimb') Theobald is currently the Chairman of the board. George has been the driving force behind the growth of a number of East African companies spread out across various sectors. George has lived in East Africa since 1983, after a commission in the British Army and a time in London working as a stockbroker. He also serves as Managing Director of publically listed Tatepa Ltd (the largest smallholder tea and avocado producer in Tanzania), is Chairman of the Kariki Group (a group of flower farms) in Kenya and the Chairman of Nomad Group (a chain of safari lodges) in Tanzania.

- **Heril Colbert Bangera - Founder & CEO**

Heril Bangera began the first subsidiary of the Issuer, Roto Moulders Limited in 1989 and has since supported the growth of the Group by steering the Group to its current status. He is responsible for overall running and strategic planning for the Group. Heril holds a Bachelor's Degree in Mechanical Engineering, a BMSCE from Bangalore University and has over 25 years of business experience. He has also pursued the Owners Management Program at Strathmore University.

- **Gilles Kichenin – Executive Director**

Gilles Kichenin has over 20 year of professional experience in related aspects of financial and management consulting. He is the financial and administrative director at Turquoise Capital Management Ltd, a Wealth & Fund Manager, and also serves as the director general at Akshar and Services Trading Ltd. He is the former Chief Finance Officer of Apavou Group and has held various management positions at leading regional businesses.

- **Imalambaal Kichenin – Executive Director**

Imalambaal Kichenin is the Chief Executive Officer at JurisTax Ltd. She also serves as a director at Lex Communications Ltd and Turquoise Promotion Ltd. Imalambaal is a law graduate from the University of London and is additionally an associate member of the Institute of Chartered Secretaries and Administrators (UK), Association of Trust and Management Companies, International Fiscal Association and the Mauritius Institute of Directors.

- **Frank Ileri – Non Executive Director**

Frank Ileri is the Managing Director of Housing Finance. He has close to 30 years work experience in both the banking and real estate sectors, spread across various countries. He has worked for prestigious organisations such as Deloitte, Haskins and Sells, Murdoch, McCrae & Smith, Citibank NA, Citibank Poland, Commercial Bank of Africa Ltd, Barclays Bank of Kenya Ltd, Barclays Africa and Barclaycard Africa at various capacities. He has served as Member of the Kenya National Payments Committee; Chairman of the Kenya Bankers' Association Operations Committee; Treasurer of the Kenya Institute of Bankers; Chairman of the Kenya Institute of Bankers and Chairman of AIESEC Board of Advisors. Mr. Ileri is currently an Advisory Board Member of the Sub-Saharan Africa Chamber of Commerce, a Board Member at Habitat for Humanity and also a Member of the AIESEC Honorary Counsel. In 2011, he was awarded the Elder of the Burning Spear by President Mwai Kibaki in recognition of his services to the nation in his various capacities.

5.7. Senior Management

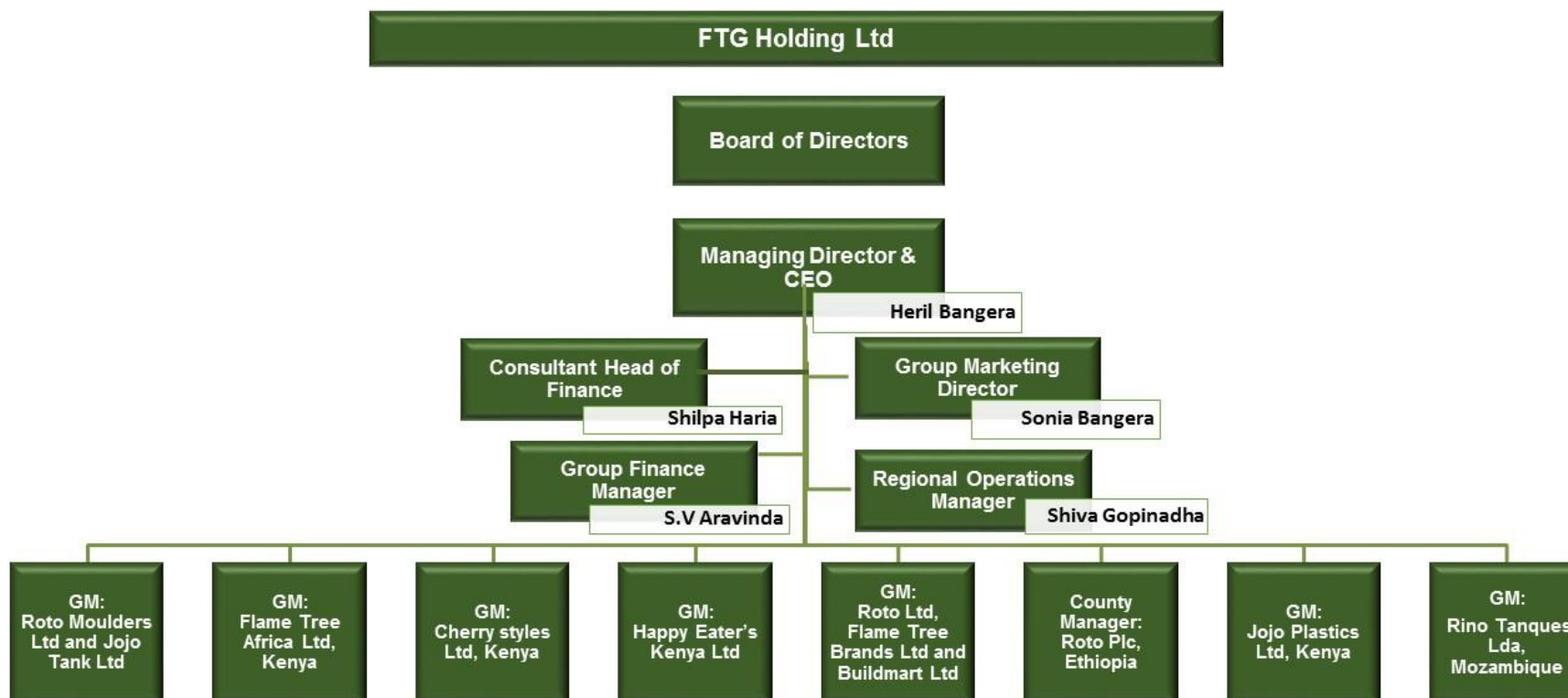
Name	Qualification	Designation	Work Experience	Nationality	Age	Physical Address
Heril Bangera	Owners Management Program, Strathmore College Bachelor's Degree in Mechanical Engineering BMSCE, Bangalore University	CEO:FTG Holdings Ltd	Over 25 years	Kenya	43	Nairobi Industrial Area, Off Enterprise Road
Shilpa Haria	Fellow of the Chartered Association of Certified Accountants (FCCA) Practicing Member of the Institute of Certified Accountants (ICPAK)	Consultant Head of Finance	Access Kenya, TBL Mirror Fund and Eveready	Kenyan	40	P. O Box 41272 Nairobi
Sonia Bangera	Master in Business Administration - Specialization in Marketing Bachelor's Degree in Science, Mount Carmel College, Bangalore University	Group Marketing Director: FTG Holdings Ltd	15 years	Indian	41	Nairobi Industrial Area, Off Enterprise Road
Shimoga Venkatagirirao Aravinda	Bachelor of Commerce, University of Mysore	Group Finance Manager: FTG Holdings Ltd	25 years	Indian	46	Nairobi Industrial Area, Off Enterprise Road
Shiva Sankara Kurup Gopinadha	Mechanical Diploma from Kerala University	Group Operations Officer & General Manger: Roto Ltd-Rwanda, Flame Tree Brands Ltd-Rwanda and Buildmart Ltd-Rwanda	Over 20 years	Indian	43	Pension Plaza, Kigali Rwanda
Radha Mohan Kurup	Instrumentation Engineering Diploma in Electrical Engineering	General Manager: Roto Moulders Ltd-Kenya	Over 18 years	Kenyan	50	Nairobi Industrial Area, Off Enterprise Road
Charles Shashidhar K Ananda	National Trade certificate Diploma in Mechanical Engineering	Country Manager: Roto Plc-Ethiopia	Over 30 years	Indian	56	Kebele, Addis Ababa, Ethiopia

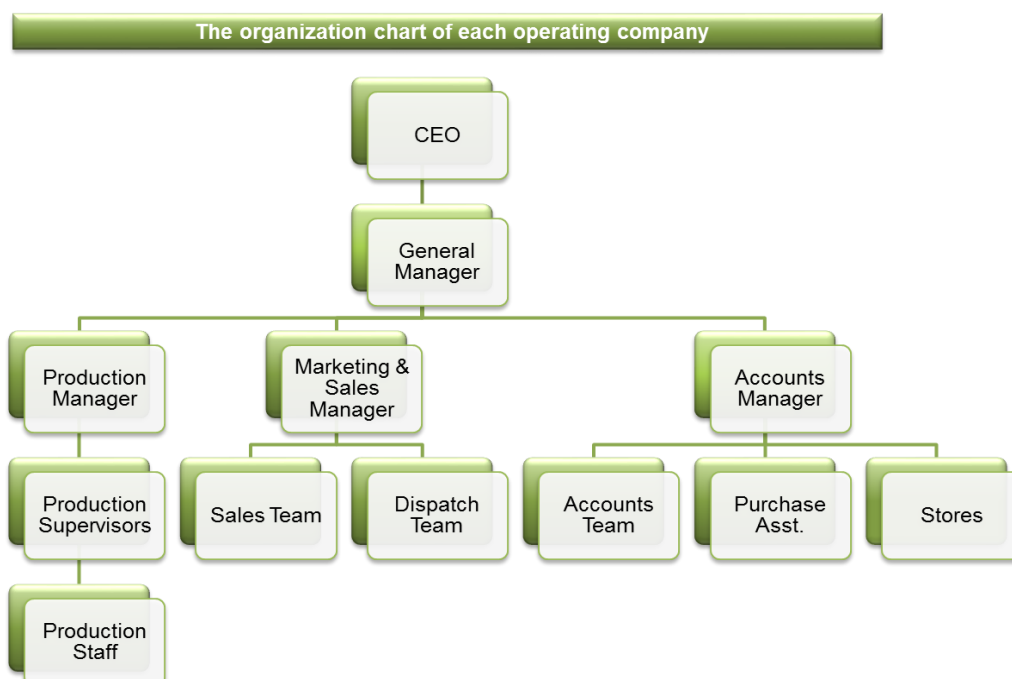
Puliyamkote Radhakrishnan	BA Economics, Calicut University	General Manager: Rino Tanques Lda-Mozambique	Over 25 years	Indian	60	Av.Das. Industrias, Talaho, 5542/3, Parcela 760, Machava,Matola, Mozambique
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5.7.1 Changes in Senior Management

There are no changes in senior management planned or expected during the twenty four (24) months following the proposed listing of shares. FTG Holding's management will eventually be drawn from the region.

5.8. Group Organization Structure





5.9. Competence and Suitability of Directors and Management

As at the date of the application and for a period of at least two years prior to the date of the application, no director or senior manager of FTG Holdings has:

- Had any petition under bankruptcy laws pending or threatened against the directors (for individuals), or senior managers, or any winding-up petition pending or threatened against it (for corporate bodies).
- Had any criminal proceedings in which the director or senior manager was convicted of fraud or any criminal offence or action either within or outside Kenya.
- Been the subject of any ruling of a court of competent jurisdiction or any governmental body that permanently or temporarily prohibits such director or senior manager from acting as an investment adviser or as a director or employee of a stockbroker, dealer or any financial institution or engaging in any type or business practice or activity.
- Any interest in any transactions which are or were unusual in their nature or conditions or significant to the business of the Group which were effected in the current or immediately preceding financial year or an earlier financial year and remain in any respect outstanding or unperformed.

5.10. Shareholding and Corporate governance

5.10.1. Shareholders

FTG Holdings has eighty six shareholders with Mr Heril Bangera being the majority shareholder holding approximately 85% of the shareholding.

Following the completion of the private placement on 22nd October 2014; the 2012 Capital Markets disclosure requirements on GEMS listings for the number of shareholders and free float have been complied with.

There are no arrangements, known to the Issuer, the operation of which may at a subsequent date result in a change in control of the Issuer.

5.10.2. Corporate Governance Practices

Governance is the means by which the affairs of an institution are directed and managed thereby promoting corporate accountability and business aptness to achieve an optimal shareholder value, whilst simultaneously taking into consideration the interests of other stakeholders. It is premised on the principles of integrity, accountability, prudence and openness.

The Board of directors of FTG Holdings Limited is at the core of the Group's system of corporate governance and is ultimately accountable and responsible for the performance and affairs of the Group. Good corporate governance is regarded as critical to the success of the business of the Group and the board is unreservedly committed to applying the fundamental principles of good governance – transparency, integrity, accountability and responsibility - in all dealings by, in respect of and on behalf of the Group.

The Board accordingly embraces the principles of good governance as set out in a number of governance frameworks including the Principles for Corporate Governance in Kenya. The board develops and maintains reporting and meeting procedures for itself and its committees. Regular board meetings are held once per quarter. Board meetings take place at the Group's offices unless otherwise decided by the board.

The Board may form committees of its members and may delegate any of its powers to any such committee. The frequency of the committee meetings are determined by the individual committee, as stated in the terms of reference for each committee.

The quorum necessary for the transaction of the business of the board is at least 3 executive 3 directors present either personally or by alternate.

The Annual General Meeting of members elects directors on the basis of their professional competencies, personal qualities and the contribution they can make to the governance of the Organization.

In accordance with the principles of good corporate governance, each director undertakes:

- To act first, foremost and always in the best interest of the Company and not for any other collateral purpose;
- To exercise his/her power in the executive duties in good faith; and
- To act with the care a prudent person would take when acting on their own behalf.

Each director undertakes that, in arriving at a decision on any issue, he or she shall strive to ensure that the decision is in the best interest of the Company and is not driven by any other interests.

Each director is fully aware of the importance of regular attendance and effective participation at meetings. Each director undertakes to do everything with their power to attend all meetings.

Board deliberations give rise to consensus or formal votes covering matters of importance to the organization.

Each director shall be attentive to and respectful of the delineation and exercise of powers and responsibilities attributed to the Company's respective decision-making organs. Directors shall however ensure that no single person can exercise uncontrolled discretionary powers. They shall support the proper functioning of Board Committees and pay particular attention to ensure that the Company's internal controls are effective and that its auditors perform their mission in a satisfactory manner.

At regular intervals, not exceeding twelve months, the Board of Directors shall undertake an evaluation of its functioning as a collective agency and as individual directors. Where necessary, the Board may obtain the services of an external facilitator to guide the evaluation. All the directors of FTG Holdings have completed the Directors Induction Programme as at the date of the Listing.

5.10.3. Composition of the Board of Directors

The Board includes a fair balance between executive and Non-Executive Directors so that no individual or company of individuals' interests will dominate the Board's decision making process. The following issues are considered in determining the Board's composition:

- Attaining a desirable ratio of and balance between the number of executive and non-executive directors.
- Ensuring that the board collectively contains the skills, experience and mix of personalities appropriate to the strategic direction of the Group and necessary to secure its sound performance.
- Experience, knowledge, skills and personal attributes of current and prospective Directors in relation to the needs of the Board as a whole.

Irrespective of a Director's special expertise or knowledge and regardless of whether a Director is an Executive or Non-Executive Director, all members of the Board recognize that they are collectively responsible to Shareholders for the performance of the Group.

5.10.4. Board Effectiveness and Evaluation

Each director further undertakes to prepare sufficiently for meetings by carefully considering board papers and attachments thereto, and where necessary seeking clarifications. Where a director is unable to attend a meeting, each director undertakes to communicate through the Chairman or the Chief Executive Officer any concerns or issues they would wish considered.

At regular intervals, not exceeding twelve months, the Board of Directors shall undertake an evaluation of its functioning as a collective agency and as individual directors. Where necessary, the Board may obtain the services of an external facilitator to guide the evaluation.

There are also no arrangements or understandings with the majority shareholder, customers, suppliers or others, pursuant to which any person was selected as a Director or member of senior management.

5.10.5. Remuneration of the Directors

The Nomination and Human Resource Committee is responsible for reviewing Non-Executive Directors' remuneration and recommending the necessary changes from time to time. In making these recommendations, due consideration must be given to the Board's expectations from Directors in terms of time commitments, degree of responsibility and financial condition of the Group.

The Committee may request management or external consultants to provide necessary information upon which the Board may make its determination.

Directors' remuneration is presented for approval at the Annual General Meeting.

In determining the compensation for Non-Executive Directors, the Nomination and Human Resource Committee shall consider the following:

- The level of fees currently earned by Directors in their professional capacity.
- The number of hours spent by Directors in preparing for and attending meetings, as well as travel to meeting venues.
- Current market rates applicable to organizations of similar size and in the same industry.
- The complexity of the Group's operations and the extent to which directors have to incur additional cost in research on industry developments and other Group related matters.
- The number of meetings in a year.

The remuneration recommended by the Nomination and Human Resource Committee shall apply to all Directors and no Director should be involved in fixing their own individual remuneration.

5.10.6. Responsibilities of the Board

The Board should specifically exercise leadership, enterprise, integrity and judgment in directing the affairs of the Group in order to achieve continuing prosperity for the Group and its Shareholders, and shall at all times act in the best interests of the Group in a manner based on transparency, integrity, accountability and responsibility.

The Board must specifically:

- Define and chart out the Group's vision, mission and values and has ultimate responsibility for the attainment of the Group's values.
- Determine the business strategies and plans that underpin the corporate strategy.
- Discuss and approve strategic plans and annual budgets.
- Retain full and effective control over the Group, and monitor Management's implementation of the strategic plans and financial objectives as defined by the Board.
- Define levels of materiality, reserving specific powers to itself and delegating other matters with the necessary written authority to management.
- Continually monitor the exercise of delegated power by Management.
- Ensure that a comprehensive system of policies and procedures is in place, and that appropriate governance structures exist to ensure the smooth, efficient and prudent stewardship of the Group.
- Ensure that the business of the Group is managed with a view to ensuring that the Group is ethical in all its dealings and exercises corporate social responsibility.
- Ensure compliance by the Group with all relevant laws and regulations, audit and accounting principles and such other principles as may be established by the Board from time to time.
- Identify key risks, opportunities and strengths relating to the Group.
- Ensure that the Group's organizational structure and capability are appropriate for implementing the chosen strategies.
- Determine monitoring criteria to be used by the Board.
- Set policies on internal control and obtain regular assurance that the system is functioning effectively and is effective in managing risks.
- Nominate board members who will add value to the board processes and arrange for their induction.
- Appoint the Managing Director, senior staff, external auditors and other consultants.
- Discuss, agree and approve annual accounts and reports.
- Communicate key policies and strategy issues to senior management.
- Identify all stakeholders and ensure effective communication with Shareholders and stakeholders.

5.10.7. Board Committees

The Board has established the following three (3) committees, whose mandates and terms of reference are spelt out as follows:

i. Audit committee

The Audit Committee is a standing Committee of the Board and its purpose is to assist the Board in assessing the integrity of financial statements and the effectiveness of financial reporting, and to conduct risk management assessment.

The composition of the committee is as follows:

- George Theobald
- Frank Ireri
- Shilpa Haria
- Authorized Representative of the Nominated Adviser

ii. Finance committee

The Finance & Audit Committee is a standing Committee of the Board and its purpose is to assist the Board of FTG Holdings Limited in financial risk management, policy formulation, reviewing and approving major financial transactions.

The composition of the committee is as follows:

- Heril Bangera
- Shilpa Haria
- Frank Ileri

iii. Nomination & Remuneration Committee

The Nomination & Remuneration Committee is a standing Committee of the Board and its purpose is to assist the Board of FTG Holdings Limited to propose new nominees for the board as and when required and to assess the performance and effectiveness of Directors in the Group. The Nomination and remuneration Committee is responsible for reviewing Non-Executive Directors' remuneration and recommending the necessary changes from time to time.

The composition of the committee is as follows:

- George Theobald
- Heril Bangera
- Gilles Kichenin
- Imalambaal Kichenin

5.10.8. Other Important Information

i. Director emoluments and benefits

The aggregate directors' emoluments and benefits for the years ended 31st December 2013 and 2012 are as follows:

	2014	2013	2012
Directors' Fees (in KES)	5,107,223	6,973,599	4,091,058

Source: Management and Group records

There are no arrangements whereby any of the Directors have or have agreed to waive future emoluments and there has been no arrangement for the waiver of emoluments during the past financial year.

ii. Director Service contract arrangements

The Directors service contracts have been made available for inspection and will be part of the accompanying documents to this Listing Statement.

iii. Employees

There are no schemes for involving staff members in the capital of any member of the Group.

6. Operational and Financial Review

This section is to be read in conjunction with this Listing Statement as a whole, including, in particular, the risk factors discussed in the section “Key Risk Factors” set out in section 7 and the reporting accountant’s report in Appendix II of this document.

6.1. The Combined Statement of Profit or Loss

Income Statements	FY12 Audited JAN-DEC 12	FY13 Audited JAN-DEC 13	YTD14 Management JAN-JUN 14
KES			
Revenue	1,542,619,274	1,601,356,664	778,543,739
<i>Growth rate</i>		4%	
Cost of Sales	(1,047,868,052)	(1,006,487,763)	(529,790,118)
Gross Profit	494,751,222	594,868,901	248,753,621
<i>Gross profit margin</i>	32%	37%	32%
Other income	3,323,798	1,074,535	64,504,511
Operating expenses			
Distribution Costs	(143,792,377)	(135,291,943)	(75,224,027)
Administrative Expenses	(73,681,733)	(66,494,828)	(27,462,979)
Other Operating Expenses	(38,375,206)	(50,039,101)	(26,080,362)
Employment Costs	(85,105,427)	(99,079,251)	(55,188,452)
EBITDA	157,120,277	245,038,313	129,302,312
<i>EBITDA margin</i>	10%	15%	17%
Depreciation	(26,749,414)	(25,848,304)	(11,425,139)
Finance cost	(90,860,169)	(45,953,750)	(33,373,913)
Profit before tax	39,510,694	173,236,259	84,503,260
<i>PBT margin</i>	3%	11%	11%
Tax charge	12,771,294	(24,188,870)	(6,251,817)
Profit after tax	52,281,988	149,047,389	78,251,443
<i>PAT margin</i>	3%	9%	10%

Source: Group Records

Profit Margins (%)			
GP Margin	32%	37%	32%
EBITDA Margin	10%	15%	17%
PBT Margin	3%	11%	11%
PAT Margin	3%	9%	10%

Source: Group Records

The Group has improved its PBT margins due to improved operational efficiency and reduced finance costs from FY12 to YTD14.

The Group plans to fund its working capital requirements through listing on the Nairobi Securities Exchange, following which it will be able to access cheaper sources of capital.

It is likely that the Group will finance a further expansion plan through a rights issue in the medium term.

6.2. The Combined Statement of Financial Position

Balance Sheet	FY12	FY13	YTD 14
KES	Audited	Audited	Management
	DEC-12	DEC-13	JUN-14
Non current assets			
Property, plant & equipment	183,059,773	163,230,475	154,040,979
Deferred Tax Asset	30,777,148	22,443,838	24,034,509
Total Non current assets	213,836,921	185,674,313	178,075,488
Current assets			
Inventories	94,642,342	123,324,072	117,156,604
Trade and other receivables	395,968,394	532,357,443	401,416,213
Tax recoverable	3,618,347	2,758,399	3,659,905
Cash and cash equivalents	-	-	-
Total current assets	494,229,083	658,439,914	522,232,722
Current liabilities			
Trade and other payables	391,609,710	466,877,992	241,214,891
Bank Overdraft	6,016,060	20,068,452	26,730,416
Total Current Liabilities	397,625,770	486,946,444	267,945,307
Non current liabilities			
Borrowings	191,521,997	159,040,065	231,386,318
Total Non current liabilities	191,521,997	159,040,065	231,386,318
Net Assets	118,918,237	198,127,718	200,976,585
Shareholders Funds			
Share Capital	-	-	113,502,932
Deposit shares	9,500,000	-	-
Legal reserves	1,595,015	1,595,015	1,595,015
Retained Earnings	106,910,635	198,495,796	89,389,139
Translation reserve	912,587	(1,963,093)	(3,510,501)
Shareholder's Funds	118,918,237	198,127,718	200,976,585

Source: Group Records

6.3. The Combined Statement of Cash flows

Cashflow Statements KES	FY12 Audited JAN-DEC 12	FY13 Audited JAN-DEC 13	YTD14 Management JAN-JUN 14
Operating Activities			
Profit Before Tax	39,510,694	173,236,259	84,503,260
Adjusted for:			
Depreciation on property, plant and equipment	26,749,414	25,848,304	11,425,139
Interest expense	86,923,715	33,056,610	30,076,940
(Gain)/loss on disposal of property, plant and equipment	21,438	-	(61,044,243)
Foreign exchange loss	3,936,454	12,897,140	3,296,973
Adjusted profit	157,141,715	245,038,313	68,258,069
Changes in working capital			
Inventory	43,538,710	(28,681,730)	6,167,468
Trade and other receivables	(14,452,636)	(136,389,049)	130,941,230
Trade and other payables	5,298,493	75,268,282	(225,663,101)
Total working capital changes	34,384,567	(89,802,497)	(88,554,403)
Cash generated from operations			
Interest paid	(86,923,715)	(33,056,610)	(30,076,940)
Tax paid	(15,156,636)	(14,995,612)	(8,743,994)
Cash from operating activities	89,445,931	107,183,594	(59,117,268)
Investing Activities			
Purchase of property, plant and equipment	(36,616,166)	(9,799,379)	(7,690,111)
Proceed from sale of PPE	64,992	-	65,265,256
Cashflows from investing activities	(36,551,174)	(9,799,379)	57,575,145
Financing Activities			
Issued Share Capital	-	32,135,500	-
Share deposit refunds	-	(9,500,000)	-
Longterm borrowing	-	6,728,508	74,169,978
Borrowing repayment	(9,962,468)	(39,210,440)	(1,823,725)
Dividend paid	(119,232,931)	(89,597,728)	(73,855,168)
Cashflows from financing activities	(129,195,399)	(99,444,160)	(1,508,915)
Net increase in cash and cash equivalents	(76,300,642)	(2,059,945)	(3,051,038)
Cash and cash equivalents b/f	69,870,124	(6,016,060)	(20,068,452)
Effect of exchange rate changes	414,458	(11,992,447)	(3,610,926)
Cash and cash equivalents c/f	(6,016,060)	(20,068,452)	(26,730,416)

Source: Group Records

6.4. Trading Update

In the period since the half year-end the Group has experienced a steady demand for its products. Operations in some locations have been running below capacity due to working capital constraints which can lead to flat sales, however with the increased working capital position the Group now expects an increase in production which can lead to the projected sales and the demand for company goods.

Raw material pricing has been moving upwards for the past few months and it seems to have peaked. It has been observed to drop slightly and the Group anticipates this trend may continue in the coming months. Meanwhile the Group's selling prices have remained consistent and relatively stagnant for the past 2 years. The Group does not foresee any increase in selling price in the near future. With regard to stocks, both raw materials and finished goods, the Group expects to maintain similar levels to the position in recent months. The Group expects to maintain adequate stock levels to cater for anticipated sales.

7. Key Risk Factors

Risk is the potential for an adverse impact on the interests of the Group.

FTG Holdings' activities expose it to a variety of general and industry related risks. All of these factors are contingencies which may or may not occur and the Group is not in a position to express a view on the likelihood of any such contingency occurring.

Factors which the Group believes may be material for the purpose of assessing the market risks associated with an investment in FTG Holdings are described below. The Group believes that the factors described represent the principal risks inherent in investing in FTG Holdings. In addition to other information contained in this Listing Statement, prospective Investors should consider carefully the information set out below before making an investment decision. The risk factors are however not intended to be exhaustive and there may be other considerations, which should be taken into account in relation to an investment in the Group. Investors should exercise care in evaluating the risks involved to ensure that their investment is appropriate.

7.1. General and Specific Risks

7.1.1. Political Risk

The Group's operations cover markets which at various times have been characterised by political instability. The region is politically young, and has been subject to various forms of political unrest since independence. Kenya, in particular, underwent recent turbulence since the 2007 general elections, although the political situation has been relatively calm since peaceful conclusion of general elections in March 2013 which resulted in the formation of a new government.

The democratic process prevailing in the country and the support from the international community for the region's political systems reduces the risk of significant political unrest. While the Group has systems, controls and procedures designed to mitigate political risk, there can be no assurance that any adverse political events will not have a negative impact on the Group's business.

7.1.2. Financial Risk

The Group's activities expose it to a variety of financial risks including credit risk and the effects of changes in interest rates on bank overdraft. The following are the financial risks facing the Group:

- **Foreign Exchange Risk**

This refers to the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Group is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US Dollar. Foreign exchange risk arises from future foreign transactions.

- **Credit Risk**

Credit risk arises from cash and cash equivalents as well as trade and other receivables. It arises from the probability that debtors will default on their contractual obligations resulting in financial loss to the Group.

Management assesses the credit quality of each customer, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

- **Liquidity Risk**

Present liquidity risk management includes maintaining sufficient cash to meet Group obligations. The Group manages this risk by maintaining adequate cash balances in the bank, banking facilities and short term deposit facilities by continuously monitoring forecast and actual cash flows.

7.1.3. Capital Risk

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain and adjust the capital structure, the Group may sell assets to reduce debt. Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio.

7.1.4. Strategic Risk

Strategic risks are risks arising from formulation and implementation of strategic and business plans that are inappropriate and inconsistent with internal factors and the external environment which may in turn affect earnings, capital fund or viability of the business.

To mitigate strategic risks, the board of directors and senior management carefully formulate strategic and business plans, supportive of corporate governance, in addition to putting in place internal infrastructure appropriate for implementation of the strategic plans.

7.1.5. Operational Risk

Operational risk is associated with human error, an inadequate information system, technology failures, breach in internal controls, fraud, inadequate training, unforeseen catastrophes and other operational problems that may be encountered within the operating system. Operational risk will exist as long as the Group is in operation, but management has ensured that an effective, integrated operational risk management framework is in place. This includes the following:

- Each department has defined roles and responsibilities with regard to operational risk management.
- Key risks are identified, assessed, controlled and reported on a continuous basis using appropriate tools and methodologies.
- Operational systems and procedures are subjected to independent reviews.
- Appropriate insurance to cover risks such as fire, theft and burglary is undertaken with reputable insurance companies.
- A comprehensive system of internal controls is maintained and systems and procedures to monitor transactions are established.

7.1.6. Legal Risk

Insurance, particularly third party liability insurance, often involves legal contests on the amount of claims payable. At any particular time, there are likely to be various pending litigation issues and the management of these depends on a number of considerations.

The Group has set up management structures and policies which permit analysis and assessment of all legal risks and provides for possible losses in order to minimize any adverse effects on financial performance.

7.1.7. Reputation Risk

Reputational risk is the potential that negative publicity regarding an institution's business practices, whether true or false, will cause a decline in the customer base or revenue reductions. This risk may result from an institutions' failure to effectively manage any or all of the other risk types. The ultimate accountability for reputational risk management rests with the board.

The board of directors addresses explicitly reputational risk as a distinct and controllable risk to FTG Holdings' safety and soundness through a versatile risk management framework for reputational risk.

7.2. Risk Management Responsibility

The Group has taken measures to manage risk in line with strategy and within risk appetite. The implementation of a robust and transparent risk management program is necessary to enable the Group to adapt and meet these challenges in a structured way to continually align its priorities and objectives against a background of changing risk and uncertainty. The Group's overall risk management programme focuses on

the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by management under policies approved by the Board of directors. Management identifies, evaluates and hedges financial and other risks. The Board provides principles for overall risk management, as well as policies covering specific areas such as, interest rate risk, credit risk and investing excess liquidity.

The Group has policies in place to ensure that products and services are sold or provided to customers with an appropriate credit history. There has been no change to the Group's exposure to market risks or the manner in which it manages and measures the risk.

The benefits of implementing a risk management framework include the following:

- Demonstrating due diligence in planning and day to day management activities
- Promoting proactive rather than reactive management with the early identification and treatment of risks
- Improving the focus on the Group's key strategic goals leading to:
- A more robust basis for strategic planning as key elements of risk have been identified.
- More effective allocation of resources to key services and areas of high risk improving service delivery.
- An improved level of accountability and responsibility.
- Better informed decisions about opportunities and new initiatives/projects.
- Avoidance of taking unnecessary opportunistic risks.
- An acceptance of the changing patterns of risk and opportunity in an increasingly competitive environment.

7.3. Risk Factors Relating to this Listing

FTG Holdings is not in a position to predict whether investor interest in FTG Holdings after Listing will lead to the development of an active trading market on the NSE or otherwise, or how liquid and vibrant the GEMS market might be. The Listing price for the Group's shares has been determined by FTG Holdings in consultation with the Transaction Advisors and Sponsoring Stockbrokers and may not be indicative of prices that will prevail in the open market following this Listing.

Investors should therefore consider carefully whether investment in the Group is suitable for them, in light of the risk factors outlined above, their personal circumstances and financial resources available to them.

8. Statutory and General Information

8.1. General and Legal Information

FTG Holdings Limited (hereinafter referred to as “FTG Holdings” “the Issuer” or “the Company”) was incorporated in Mauritius with certificate number 107319 C1/GB1. FTG Holdings was initially established as a private company. On 15th July 2014, the Issuer was converted into a public company by the amendment of its Articles through a special resolution.

8.1.1. Principal Objects

The main object for which the Company was incorporated is that of carrying out investment holding activities in respect of its underlying subsidiaries and carry out such activities which are not prohibited under the Laws of Mauritius and the laws of the countries where the company is transacting business and to do all such things as are incidental or conducive to the attainment of the above objects. These objects will apply exclusively to business as defined with regard to global business in the Financial Services Act 2007, for which a Category 1 Global Business Licence is issued.

8.1.2. Articles of Association

The other key provisions of the Company’s constitution are as follows:

- The Members in general meeting may authorise the board to issue shares and/or grant options at any time to any person and in any number as it thinks fit pursuant to Section 52 of the Companies Act
- No shares or any interest or right to the shares shall be issued or granted by the company to bearer.
- The company may from time to time increase or reduce its capital and to issue any shares in the original or increased or reduced capital with such preferred or deferred, qualified or other special rights or restrictions whether in regard to voting, dividend, return of capital or otherwise as the company may determine subject always to the Companies Act 2001.
- The Company may by ordinary resolution:
 - Consolidate and divide all or any of its capital into shares of larger amount than its existing shares;
 - Sub-divide its existing shares, or any of them, into shares of smaller amount than is fixed by this constitution, subject, nevertheless, to the provisions of the Companies Act 2001;
 - Cancel any shares which, at the date of passing the resolution, have not been taken or agreed to be taken by any person.
- The shares shall unless otherwise stated be fully paid up when issued and rank *pari passu* in all respects as amongst themselves including as to participation in the profits of the company.
- Variation of rights
 - Where the share capital of the company is divided into different classes of shares, the company shall not take any action which varies the rights attached to a class of shares unless that variation is approved by a special resolution, or by consent in writing of the holders of 75 per cent of the shares of that class.
 - The quorum for a separate class meeting (other than an adjourned meeting) to consider a variation of the rights of any class of shares shall be the holders of one third of the issued shares of that class.
 - So long as the company shall be a listed company, the preferences, rights, limitations or other terms of any class of shares of the company must not be varied and no resolution may be proposed to Shareholders for rights to include such variation in response to any objectively ascertainable external fact.”
- Provisions on directors

- The directors will be appointed by the company in general meeting or at meetings of the board.
- A director shall be allowed to vote on any contract or arrangement or any other proposal in which he or his associates have an interest and he shall be counted in the quorum present at the meeting, provided that such director discloses his interest to the board.
- The remuneration of directors shall be determined by ordinary resolution of the shareholders. As such, the directors do not have the right to vote remuneration to themselves or any members of their body.
- At each Annual General Meeting of shareholders all the directors shall retire from office and may make themselves available for re-election.

8.1.3. Share Capital

The Share Capital of the Issuer amounts to KES 307,802,875 divided into 161,866,804 ordinary shares of KES 0.825 each and an aggregate share premium of KES 174,262,762.

The Issuer has eighty six shareholders. Heril Bangera being the majority shareholder holds approximately 85% of the shareholding.

8.1.4. Directors

The Directors of the Company are:

Name	Position	Nationality	Age
George Theobald	Non-Executive Director (Chairman)	Tanzanian	55
Heril Bangera	Managing Director and CEO	Kenyan	43
Gilles Kichenin	Executive Director	French	48
Imalambaal Kichenin	Executive Director	Mauritian	40
Frank Ileri	Non-Executive Director	Kenyan	52

Group Lawyers

Coulson Harney Advocates
5th floor, ICEA Lion Centre, West Wing,
Riverside Park, Chiromo Road
P. O. Box 10643-00100
Nairobi, Kenya

Group Accountants

PKF Kenya
Certified Public Accountants (Kenya)
Kalamu House, Grevillea, Westlands
P.O. Box 14077-00800
Nairobi, Kenya

8.2. Borrowing Powers of the directors of the Issuer and its subsidiaries

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
1.	FTG Holdings , Mauritius (the “Issuer”)	Constitution	13.1 and 5	The directors may exercise all powers of the company to borrow or raise or secure the payment of money or the performance or satisfaction of the company of any obligation or liability or to mortgage or charge its undertaking, property and uncalled capital or any part thereof and to issue mortgages, charges, bonds, notes and other securities and other instrument whether outright or as security, for any debt liability or obligation of the company or of any third party. In addition, such power shall be exercised in compliance with Section 143 of the Companies Act 2001. (Clause 13.1)	The Company may in accordance with the Companies Act 2001 alter its constitution or any provision therein by special resolution of the members of the Company (the “Members” or the “shareholders”) (Clause 5)	
2.	Flame Tree Africa Limited (Kenya)	Memorandum of Association	Object 3.46	The Company may borrow or raise money whether or not for the purposes of the company (including by way of hire purchase, conditional sale, credit sale or any other such methods of financing) from banking and financial institutions or other money lending institutions or by other lawful means including by the issue of debentures, debenture stock (perpetual or terminable) or bonds and to secure or discharge any debt, liability or obligation of or binding on the company whether by way of guarantee or indemnity or otherwise (including, without limitation, pursuant to the borrowing or raising of money) by giving of mortgages , charges or other security founded, or based upon all or any of the property and rights of the Company, including its uncalled capital or without any such security and upon terms as to priority or otherwise as the Company shall think fit.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Memorandum of Association of the Company can be amended by a special resolution of the shareholders of the Company.	

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
		Articles of Association	Article 9	The directors may exercise all powers of the company to borrow, lend and guarantee the repayment of money and to mortgage or charge or otherwise secure its undertaking, assets, property and uncalled capital or any part thereof and to issue debenture stock and other securities and other instrument whether outright or as security, for any debt liability or obligation of the company or of any third party. Regulation 79 of Table “A” Part I shall not apply to the Company.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Articles of Association of the Company can be amended by a special resolution of the shareholders of the Company.	The effect of excluding Regulation 79 of Table A of the Companies Act is that the Company is permitted to borrow more than the issued share capital of the Company.
3.	Cherry Styles Limited (Kenya)	Memorandum	Object 3.49	The Company may borrow or raise money whether or not for the purposes of the company (including by way of hire purchase, conditional sale, credit sale or any other such methods of financing) from banking and financial institutions or other money lending institutions or by other lawful means including by the issue of debentures, debenture stock (perpetual or terminable) or bonds and to secure or discharge any debt, liability or obligation of or binding on the company whether by way of guarantee or indemnity or otherwise (including, without limitation, pursuant to the borrowing or raising of money) by giving of mortgages, charges or other security founded, or based upon all or any of the property and rights of the Company, including its uncalled capital or without any such security and upon terms as to priority or otherwise as the Company shall think fit.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Memorandum of Association of the Company can be amended by a special resolution of the shareholders of the Company.	-
		Articles	Article 9	The directors may exercise all powers of the company to borrow, lend and guarantee the repayment of money and to mortgage or charge or otherwise secure its undertaking, assets, property and uncalled capital or any part thereof and to issue debenture stock and other securities and other	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Articles of Association of the Company can be amended by a special	The effect of excluding Regulation 79 of Table A of the Companies Act is that the Company is permitted to borrow

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
				instrument whether outright or as security, for any debt liability or obligation of the company or of any third party. Regulation 79 of Table “A” Part I shall not apply to the Company (<i>described in clause 2.1.3 and 2.1.4</i>)	resolution of the shareholders of the Company.	more than the issued share capital of the Company.
4.	Happy Eaters Kenya Limited (Kenya)	Memorandum of Association	Object rr	The Company may borrow or raise money whether or not for the purposes of the company (including by way of hire purchase, conditional sale, credit sale or any other such methods of financing) from banking and financial institutions or other money lending institutions or by other lawful means including by the issue of debentures, debenture stock (perpetual or terminable) or bonds and to secure or discharge any debt, liability or obligation of or binding on the company whether by way of guarantee or indemnity or otherwise (including, without limitation, pursuant to the borrowing or raising of money) by giving of mortgages , charges or other security founded, or based upon all or any of the property and rights of the Company, including its uncalled capital or without any such security and upon terms as to priority or otherwise as the Company shall think fit.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Memorandum of Association of the Company can be amended by a special resolution of the shareholders of the Company.	
		Articles of Association	Article 17	The directors may exercise all powers of the company to borrow and to mortgage or charge its undertaking, property and uncalled capital or any part thereof and to issue debentures, debenture stock and other securities and other instrument whether outright or as security, for any debt liability or obligation of the company or of any third party.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Articles of Association of the Company can be amended by a special resolution of the shareholders of the Company.	Regulation 79 of Table A of the Companies Act has been excluded in the Articles. The effect of this is that the Company is permitted to borrow more than the issued share capital of the Company.

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
5.	Roto Moulders Limited (Kenya)	Memorandum of Association	Object 34	The Company may borrow or raise or secure payment of money in such a manner as the company thinks fit and in particular by the issue of debenture stock, perpetual or otherwise creating a charge upon all or any the company's property (both present and future) including its uncalled capital and to purchase, redeem and pay off any such securities.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Memorandum of Association of the Company can be amended by a special resolution of the shareholders of the Company.	-
		Articles of Association	Articles 24 and 25	- The directors may from time to time, at their discretion borrow and secure the payments of any sum or sums of money for the purposes of the company. Clause 79 of Table "A" Part I shall not apply to the Company. - The Directors may secure the repayments of money borrowed in such a manner and upon such terms and conditions in all respect they think fit and in particular, subject to Article 3 (a) hereby by issue of debenture stock of the Company (both present and future) including its uncalled capital for the time being.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Articles of Association of the Company can be amended by a special resolution of the shareholders of the Company.	The effect of excluding Regulation 79 of Table A of the Companies Act is that the Company is permitted to borrow more than the issued share capital of the Company.
6.	Jojo Plastics (Kenya)	Memorandum of Association	Object 3.48	The Company may borrow or raise money whether or not for the purposes of the company (including by way of hire purchase, conditional sale, credit sale or any other such methods of financing) from banking and financial institutions or other money lending institutions or by other lawful means including by the issue of debentures, debenture stock (perpetual or terminable) or bonds and to secure or discharge any debt, liability or obligation of or binding on the company whether by way of guarantee or indemnity or otherwise (including, without limitation, pursuant to the borrowing or raising of money) by giving of mortgages, charges or other security founded, or based upon all or any of the property and rights of the Company, including its uncalled capital	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Memorandum of Association of the Company can be amended by a special resolution of the shareholders of the Company.	

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
				or without any such security and upon terms as to priority or otherwise as the Company shall think fit.		
		Articles of Association	Article 9	The directors may exercise all powers of the company to borrow, lend and guarantee the repayment of money and to mortgage or charge or otherwise secure its undertaking, assets, property and uncalled capital or any part thereof and to issue debentures, debenture stock and other securities and other instrument whether outright or as security, for any debt liability or obligation of the company or of any third party. Regulation 79 of Table “A” Part I shall not apply to the Company.	Pursuant to the Companies Act (Chapter 486 of the Laws of Kenya), the Articles of Association of the Company can be amended by a special resolution of the shareholders of the Company.	The effect of excluding Regulation 79 of Table A of the Companies Act is that the Company is permitted to borrow more than the issued share capital of the Company.
7.	Cirrus International (Dubai)	Articles of Association	N/A	The Articles are silent on the issue of borrowing powers therefore the Hamriyah Free Zone Rules as the company is a free zone company.	N/A	
		Hamriyah Free Zone Rules	Rules 15 and 16	- The business of a Free Zone Company shall be managed by the directors who may exercise all the powers of the Free Zone Company. The directors may regulate their proceedings as they think fit. - The objects of each Free Zone Company shall be to carry on all such business within the areas of the Free Zone as the HFZ Authority may permit under the terms of the Licence issued in respect of the Free Zone Company (as the same may be amended from time to time by the HFZ Authority) and elsewhere in accordance with all applicable laws and regulations, and all business and other matters ancillary, conducive or related thereto. Such matters will include power for each Free zone Company to borrow, grant security, guarantee any obligation or any person or indemnify any person, to enter into all types of banking and financial	N/A	The borrowing powers of the company are vested in the directors of the company. There is no express limit on the amount that can be borrowed in the Hamriyah Free Zone Rules.

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
				transactions, to issue, make, endorse or draw any negotiable instruments (such as cheques, bills of exchange, promissory notes or bills of lading) in relation to its business and power for each Free Zone Company to make, alter or dispose of any investments (whether or not within the UAE) in relation to its business.		
8.	Roto Private Limited Company (Ethiopia)	Memorandum of Association	Article 8	The General Manger shall have full power to buy and sell shares held by the company, immovable or movable property owned by the company. The General Manger shall also have the power to sign any contract on behalf of the company, give as collateral any immovable and/or movable property of the company for any loan concluded with backs.	The borrowing power of the General Manager may be varied by a shareholder's resolution	Ethiopian commercial law does not provide for directors. It only provides for a Manager(s).
9.	Roto Limited (Rwanda)	Articles of Association	Article 15	- The manager of the company is endowed with the powers to run and conduct the assets and business of the Company within the limits of the objects of the Company. - All powers that are not specifically provided by the law or the articles of association to be the general meetings shall fall within the competence of the manager.	N/A	The Articles of Association dated 16/5/2000 do not expressly make provision for the borrowing powers of the manager.
10	Build Mart Limited (Rwanda)	Articles of association	Article 15 & 29	- The managing director shall have full powers to manage and administer assets and activities of the company within the limit of the company objects. It shall be within his powers to carry out all those duties which are not expressly reserved for the general meeting either by law or these articles of association (Article 15). - For any matter not taken care of by these Articles of Association, the members shall refer to the laws governing companies in the republic of Rwanda (Article 29).	N/A	The Articles of Association dated 20/7/2012 do not expressly make provision for the borrowing powers of the manager

No.	Name of Company	Constitutive document	Relevant clauses	Provision on borrowing powers	Variation of powers	Comments
11	Flame Tree Brands Limited (Rwanda)	Articles of association	Article 15	- The manager of the company is endowed with the powers to run and conduct the assets and business of the Company within the limits of the objects of the Company. - All powers that are not specifically provided by the law or the articles of association to be the general meeting's shall fall within the competence of the manager.	N/A	The Articles of Association dated 17/7/2002 do not expressly make provision for the borrowing powers of the manager
12	Rino Tanques, Limitada (Mozambique)	Articles of Association		The Articles are silent on the issue of borrowing powers therefore the Commercial Law Act of Mozambique applies.	N/A	
		Commercial Law Act		The directors may borrow for the company the supplies it needs and the terms and conditions of the borrowing should be established by the General Assembly.	N/A	

8.3. Other Important Information

8.3.1. Capital Changes

Prior to listing, FTG Holdings underwent a restructuring process to comply with GEMS requirements of being listed on the GEMS market. During the restructuring process (as explained in Note 1(a) of these financial statements), the shares of the entities were transferred to FTG Holdings Limited and as a result, once the restructuring process was completed, a parent - subsidiary relationship now exists as the date of issuing the listing statement. The shares of the entities were transferred at a consideration of KES 112,617,930 and this sum was owed to the shareholders of the combined entities pre restructuring. The shareholders of the combined entities to whom this money was owed by FTG Holdings Limited have agreed to convert the amount owed to share capital and the relevant documents relating to the conversion have been filed with the Registrar of Companies in Mauritius. As a result, the number reflected above as the share capital of FTG Holdings Limited, post restructuring is KES 113,502,932.

Prior to listing, FTG Holdings Limited conducted a private placement of 24,287,493 shares and raised KES 194,299,994 (as reflected in the pro-forma balance sheet).

8.3.2. The Group's Subsidiaries

As at the date of publication of this Listing Statement, the Group has eleven (11) subsidiaries;

- Roto Moulders Limited, Kenya ("Roto Kenya"). Roto Kenya was incorporated on 31st August 1989.
- Roto Limited, Rwanda (Roto Rwanda"). Roto Rwanda was incorporated on 14th June 2000.
- Flame Tree Brands Limited, Rwanda ("Flame Tree Rwanda"). Flame Tree Rwanda was incorporated on 19th July 2002.
- Flame Tree Africa Limited, Kenya ("Flame Tree Kenya"). Flame Tree Kenya was incorporated on 20th May 2008.
- Cirrus International FZC, UAE ("Cirrus"). Cirrus was incorporated on 16th June 2009.
- Rino Tanques Lda, Mozambique, ("Rino"). Rino was incorporated on 27th January 2010.
- Roto PLC, Ethiopia ("Roto Ethiopia"). Roto Ethiopia was incorporated on 18th February 2010.
- Cherry Styles Limited, Kenya ("Cherry Styles"). Cherry Styles was incorporated on 04th November 2011.
- BuildMart Limited, Rwanda ("BuildMart"). Buildmart was incorporated on 17th September 2012.
- Happy Eaters Kenya Limited, Kenya ("Happy Eaters"). Happy Eaters was incorporated on 26th September 2012.
- Jojo Plastics Limited, Kenya ("Jojo"). Jojo was incorporated on 5th September 2014

8.3.3. Material Contracts

The Group enters into agreements to provide services to customers in the normal course of business there are therefore no contracts which are material for purposes of disclosure.

8.3.3.1. Licenses

All material licenses, permits, approvals and consents required by the FTG Holdings and its subsidiaries to carry on the business of the Group have been duly obtained and are in full force and effect.

8.3.4. Material Borrowings

The Company's subsidiaries have obtained various banking facilities for purposes of their business. The following facility in respect of Roto Moulders Limited (Kenya) is material for purposes of disclosure:

A bank term loan from NIC Bank of KES 139,547,308 as at 31st June 2014 secured by fixed and floating debenture over the assets of the company, supplemental legal charge over Land Reference Number 209/8918, directors guarantees and corporate and indemnities all risk insurance policies over all the company's assets with the Bank's interest noted on the policies.

8.3.5. Litigation/Disputes

The Issuer's subsidiaries are subject to litigation arising in the normal course of business. The following cases involving Roto Moulders Kenya and are material for purposes of disclosure:

Chief Magistrate's Civil Suit No. 4079 of 2013 (Nairobi) Duncan Ochieng Obuon & Jemimah Akinyi t/a Image Profile Advertising vs. Roto Moulders Limited.

The claim is for KES 13,871,018.60 purportedly arising from advertising services provided by Image Profile Advertising (the "Plaintiff") to Roto Moulders Limited (the "Defendant"). The Defendant denies the claim on the basis that there is no agreement that was entered into between the parties.

It is pleaded in the defence that the only agreement that the parties entered into is the one dated 5th September 2011 which was a partnership agreement. This partnership agreement was to be on a job by job basis and the Plaintiff was required to obtain the prior approval of the Defendant before executing any promotion of the Defendant's products. However, there are no local purchase orders, delivery notes, invoices or any other documentary evidence to show that the Plaintiff sought the approval of the Defendant before commencing the purported advertising or promotion. Further, there are no particulars in the plaint to show in what manner, where and when the purported advertising or promotion activities were undertaken by the Plaintiff on the Defendant's behalf.

The matter is currently pending before the Chief Magistrate's Court at Nairobi. A hearing date is yet to be secured.

Industrial Court Cause No. 1210 of 2013 (Nairobi) Christopher Muthengi vs. Roto Moulders Limited

This is an industrial claim by Christopher Muthengi (the "claimant") against Roto Moulders Limited (the "respondent"). The claim is for a declaration the claimant's constructive termination was unlawful, terminal benefits in the sum of KES 5,431,777.00 plus compensation of 12 months' worth of the claimant's salary for the unlawful constructive termination.

The claimant asserts that on 5th July 2010 he was forced to resign from the employ of the respondent on account witch-hunting, threats and harsh working conditions after which he was not paid his terminal benefits. The respondent asserts that the claimant's initial employment commenced sometime in 1992 until sometime in the year 2001 when the claimant was declared redundant. Consequently the claimant was paid all his redundancy dues, including severance pay, in cash.

The respondent states that subsequently, the parties entered into a new contract of employment on 1st July 2001. This new contract subsisted until 4th July 2010 when the claimant voluntarily resigned. The respondent denies all the claimant's allegations of threats and witch hunting that allegedly caused him to resign. The respondent asserts that the respondent was not entitled to salary in lieu of notice as he resigned voluntarily, he never worked on weekends and therefore not entitled to overtime, he did not have any outstanding leave days at the time of his resignation and is not entitled to service pay as the respondent paid National Social Security Fund (NSSF) dues on his behalf.

The respondent is of the view that the claim has minimal chances of success as the particulars of the harsh conditions which forced the claimant to resign are not specified. Additionally, the claim for overtime for working on weekends and outstanding leave days is without proof. As regards the service pay, this is not payable as the respondent has pleaded that NSSF dues were remitted on the claimant's behalf. Further, the claim for unpaid July 2010 salary is without basis as the claimant resigned on 4th July 2010 and did not work in July 2010.

The matter is due to be heard on 11th December 2014 by the Industrial Court sitting at Nairobi.

8.3.6. Interruption in FTG Holdings Limited's business

There have been no interruptions in the Group's business, which may have or have had during the recent past (covering at least the previous four months) a significant effect on the Group's financial position.

8.3.7. Vendors

In 2012, Flame Tree Brands Limited, one of the subsidiaries in the Group, acquired a house having Plot No 2886C (the "**Property**"), located in Marembo Village, cell Nyanza cell, Gatenga Sector, Kicukiro District in Kigali City, from Mr. Muhoza Rene and Mrs. Munezero Chantal (the "**Vendors**") of Mwijabo Village, Niboye Cell, Niboye Sector, Kicukiro District, Rwanda. The Property was acquired at a cost of sixty five million Rwandan Francs (RWF 65,000,000). The Vendors did not give any indemnities, guarantees or warranties. The Property has been pledged to Fina Bank Rwanda Ltd (currently Guaranty Trust Bank Rwanda Ltd), Kigali City Main Branch, Kigali, Rwanda. Apart from this acquisition, none of the subsidiaries in the Group have acquired any substantial assets in the last year.

The company has entered into a sale agreement dated 11th June 2014 (the "**Sale Agreement**") with Mr Heril Colbert Bangera of P.O. Box 27621-00506, Nairobi, Kenya who is one of the directors and shareholders in the company to sell the Property to him at a cost of forty million Rwanda francs (RWF 40,000,000). Under the Sale agreement, Mr Bangera is required to pay the purchase price in cash within 36 months from the date of the Sale Agreement. The Property is yet to be valued.

Apart from this acquisition, no other subsidiaries in the Group have acquired any substantial assets in the two year.

8.3.8. Summary of rights attaching to the Shares

Each share in the Issuer has attached to it the following rights:

- (i) The right to one vote on a poll at a meeting of the company on any resolution;
- (ii) The right to an equal share in dividends authorised by the board; and
- (iii) The right to an equal share in the distribution of the surplus assets of the company.

8.3.9. Documents for Inspection

Copies of the following key documents will be available for inspection at Burbidge Capital offices unsharetil and after the listing date:

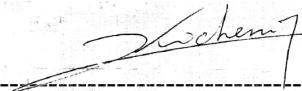
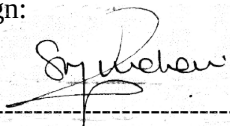
- a) This Listing Statement;
- b) The Issuer's Memorandum and Articles of Association (The constitution);
- c) The Certificate of Incorporation;
- d) The Board of Directors Resolution approving the listing;
- e) All material contracts;
- f) The Shareholders Resolution approving the listing;
- g) The audited annual reports for the financial years 2012/2013;
- h) The executive directors service contracts
- i) Copies of service agreements with managers or secretary/ies, underwriting, vendors' and promoters' agreements entered into during the last two (2) financial years;
- j) The latest certified appraisals or valuations relative to movable and immovable property and items of a similar nature, if applicable
- k) All Expert reports, letters, and other documents, balance sheets, valuations and statements expert any part of which are included or referred to in this Listing Statement; and
- l) Written statements signed by the auditors or accountants setting out the adjustments made by them (and giving reasons) in arriving at the figures shown in the Accountants' Report.

9. Directors' Statement

We hereby declare that to the best of our knowledge, information and belief (having taken all reasonable care to ensure that such is the case) all information contained in this Listing Statement and the statements contained in the reports herein are correct, and neither the Board of Directors' minutes, audit reports nor any other internal documents contain information, which could distort the interpretation of the report or affect the import of such information.

The Board of Directors of the FTG Holdings confirm that in their opinion the working capital available to the Issuer and its subsidiaries is sufficient for its present requirements and for the next twelve months following the listing.

There have been no audited or interim financial statements of the Issuer that have been published subsequent to those of 30th June 2014. The Directors of the Issuer are not aware of any significant changes in the financial or trading position of the Issuer that has occurred since the financial year ended 31st December 2013. The issued capital of the FTG Holdings is adequate for the purposes of the Group and of its subsidiary for the foreseeable future.

George Theobald Non- Executive Director (Chairman) Sign:  -----	Heril Bangera Managing Director and CEO Sign:  -----
Frank Ileri Non-Executive Director Sign:  -----	Gilles Kichenin Executive Director Sign  -----
Imalambaal Kichenin Executive Director Sign:  -----	

Our Reference: PVS/6128965
Direct Line: 2899110
E-mail Address: p.shah@coulsonharney.com
j.mbui@coulsonharney.com

Your Reference:
Date: 6 November 2014

The Directors
FTG Holdings Limited

Dear Sirs

Legal opinion in respect of the listing by introduction of FTG Holdings Limited

We are the legal advisers to **FTG Holdings Limited** ("FTG") in connection with the proposed listing of its shares ("Listing") by way of introduction on the Growth Enterprise Market Segment (the "GEMS") of the Nairobi Securities Exchange ("NSE").

The terms and conditions of the offer are contained in the Listing Statement issued by FTG and dated 6th November 2014 (the "Listing Statement"). The terms defined in the Listing Statement have the same meaning where used in this opinion. The Listing Statement includes particulars given in compliance with the requirements of the Companies Act (Chapter 486 of the Laws of Kenya), the requirements of the Capital Markets Act (Chapter 485A of the Laws of Kenya), as well as the applicable rules and regulations made thereunder including in particular the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002.

1. DOCUMENTS

- 1.1 In arriving at the opinions expressed below, we have examined originals or copies of the following documents:
- 1.2 the Listing Statement;
- 1.3 a legal opinion issued by Trench & Associates (Dubai) in respect of Cirrus International FZC, a Dubai based subsidiary of FTG dated 10th September 2014;

- 1.4 a legal opinion issued by Seleshi Ketsela & Colleagues Law Office (Ethiopia) in respect of Roto Private Limited Company, an Ethiopian based subsidiary of FTG dated 8th September 2014;
- 1.5 a legal opinion issued by Amadeu Uqueio, Advogado & Consultores (Mozambique) in respect of Roto Tanques Limited, a Mozambican based subsidiary of FTG dated 12th September 2014;
- 1.6 legal opinion issued by C&A Law (Mauritius) in respect of FTG dated 5th November 2014;
- 1.7 legal opinions issued by City Advocates (Rwanda) in respect of the following Rwandan based subsidiaries of FTG dated 10th September 2014 :
 - 1.7.1 Build Mart Limited;
 - 1.7.2 Flame Tree Brands Limited;
 - 1.7.3 Roto Limited,
- 1.8 the Constitution of FTG dated 4th November 2014;
- 1.9 Certificate of Compliance for FTG dated 4th September 2014;
- 1.10 Global Business Licence (Category 1) issued to FTG by the Financial Services Commission (Mauritius) dated 19th January 2012;
- 1.11 written resolutions of the shareholder and directors of FTG approving the listing of FTG on GEMS dated 15th September 2014;
- 1.12 written resolution of the shareholder of FTG approving the conversion of FTG from a private company into a public company dated 15th September 2014;
- 1.13 written resolutions of the shareholder of FTG appointing directors of FTG dated 27th June 2014 and 13th September 2014; and
- 1.14 such other documents and made such investigation, as we have considered necessary for the purposes of giving this opinion.

2. ASSUMPTIONS

- 2.1 For the purpose of this opinion we have assumed:
 - 2.1.1 the authenticity of documents submitted as originals, the conformity with the

original of each document submitted as a copy and the authenticity of the original of such latter documents;

- 2.1.2 the genuineness of all signatures on all documents;
- 2.1.3 that all information supplied to us by FTG, its officers and advisers is true, accurate and is up to date;
- 2.1.4 all agreements and other relevant documents have been duly authorised, executed and delivered by the parties to those documents other than FTG; and
- 2.1.5 with respect to matters of fact, we have relied on the representations of FTG and its officers and advisors.

3. OPINION

In our opinion, based on the information made available to us by FTG and its subsidiaries and subject to (i) the foregoing and the legal opinions listed above; (ii) any matters set out in the Listing Statement (iii) the reservations set out below and (iv) any matters not disclosed to us:

- 3.1.1 FTG was incorporated in Mauritius on 18th January 2012 under the Companies Act 2001 as a private company limited by shares and was allocated file number 107319 C1/GBL;
- 3.1.2 FTG converted to a non-private (public) company limited by shares on 15th September 2014 as evidenced by the Certificate of Conversion of FTG issued by the Registrar of Companies in Mauritius dated 18th September 2014;
- 3.1.3 FTG is registered in Kenya under Part X of the Companies Act (Chapter 486 of the Laws of Kenya) with Company No. CF/2014/156762 as evidenced by the Certificate of Compliance numbered 1.9 above and has established a place of business in Kenya at LR No. 209/8918 off Enterprise Road Opposite Road A, Industrial Area Nairobi, P.O. Box 26393-00504;

3.1.4 the directors of FTG are as follows:

Name	Address
Heril Colbert Bangera	A5, Zenith Gardens, Brookside Gardens, Nairobi Kenya
Soobramanien Gilles Pierre	Avenue des Ebeniers, Morcellement Reunion, Floreal, Mauritius
Imlambaal Kichenin	Avenue des Ebeniers, Morcellement Reunion, Floreal, Mauritius
George Theobald	P.O Box 1344, Plot 7/7A, Nyerere Road Dar Es Salaam, Tanzania
Frank Ireri	P.O. Box 1349-00621, Nairobi, Kenya

- 3.1.5 the stated capital of FTG is Kenya shillings three hundred and seven million, eight hundred and two thousand, eight hundred and seventy five (KES 307,802,875/-) divided into one hundred and sixty one million, eight hundred and sixty six thousand, eight hundred and four (161,866,804) ordinary shares of KES 0.825 each and share premium;
- 3.1.6 the existing capital of FTG has been issued in conformity with applicable laws and has received all the necessary authorisations;
- 3.1.7 FTG has appointed MLR Associates Certified Public Secretaries of P.O. Box 42027-00100, Nairobi as its authorised representative for purposes of accepting, on behalf of FTG, service of process and any notices required to be served on FTG;
- 3.1.8 the registered office of FTG is at Level 12 NeXteracom Tower II, Ebene, Republic of Mauritius and FTG maintains its statutory books at its registered office;
- 3.1.9 FTG is in compliance with the provisions of the Companies Act (Chapter 486 of the Laws of Kenya);
- 3.1.10 the listing of FTG's shares by way of introduction on the GEMS has been duly authorised by the board of directors of FTG;
- 3.1.11 all material licenses and material consents required by FTG and its

subsidiaries to carry on the business of the Group have been duly obtained and are in full force and effect;

- 3.1.12 FTG, either directly or through its subsidiaries, owns or leases all of the material assets, land and property required for the purposes of its business and we are satisfied after such enquiry as we deemed necessary for the purposes of this opinion, that it has good and valid title or rights to or in such material assets, land and property;
- 3.1.13 the information on FTG's subsidiaries is contained in section 1.4 and 8.3.2 of the Listing Statement;
- 3.1.14 FTG has the power to execute, deliver and exercise its rights and perform its obligations pursuant to the Listing, and such execution, delivery and performance have been duly authorised by appropriate corporate action;
- 3.1.15 neither the listing of the shares by introduction on the GEMS nor the consummation of the transactions therein contemplated nor compliance with their terms and conditions will contravene any existing law, governmental rule, regulation or order of Kenya;
- 3.1.16 FTG and its subsidiaries are not a party to, and have not been threatened with, any material litigation and arbitration that has not been disclosed in section 8.3.5 of the Listing Statement;
- 3.1.17 FTG and its subsidiaries in Kenya do not have any other material bank facilities with commercial banks in Kenya except as disclosed in section 8.3.4 of the Listing Statement;
- 3.1.18 to the best of our knowledge, information and belief and after due enquiry, we can confirm that no bankruptcy, receivership or similar proceedings have been brought against FTG or any of its directors in Kenya in the preceding two (2) years; and
- 3.1.19 there are no other material items not mentioned in the Listing Statement of which we are aware with regard to the legal status of FTG and the listing.

4. FURTHER OPINIONS

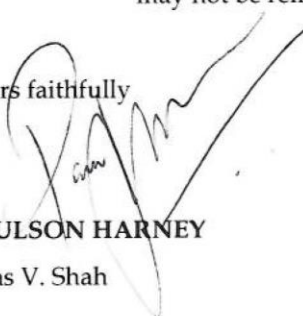
Based upon and subject as aforesaid and without prejudice to the generality of the foregoing, we are also of the opinion that:

- 4.1 a copy of the Listing Statement has been delivered to the Registrar of Companies at Nairobi for registration, duly signed by every person named in the Listing Statement as a director of FTG; and
- 4.2 the Listing Statement contains statements made by PKF Kenya ("PKF") and by ourselves, all of whom are experts for the purpose of the Capital Markets (Securities) (Public Offers, Listing and Disclosure) Regulations of 2002. PKF and we have given, and have not before the delivery of this Listing Statement withdrawn, our consent to the issue of the Listing Statement with the statements by us included in the form and context in which they are included.

5. MISCELLANEOUS

- 5.1 As legal advisers to FTG, we have issued and have not withdrawn our consent to the inclusion in the Listing Statement of this legal opinion in the form and context in which it appears.
- 5.2 This opinion relates to the laws of Kenya in force at the date hereof. No opinion is expressed as to the laws of any other jurisdiction.
- 5.3 This opinion is addressed to FTG and may be relied upon for the purposes of the listing of the shares by introduction on the Growth Enterprise Market Segment. It may not be relied upon by any other person or used for any other purpose.

Yours faithfully



COULSON HARNEY

Paras V. Shah

Appendix II: The Accountant's Report



The Board of Directors

FTG Holdings Limited Mauritius

11 September 2014

REPORT OF THE ACCOUNTANTS

Introduction

We submit our Accountant's report in accordance with Section 19 of the Third Schedule of the Companies Act (Cap. 486) and Part CC of the Third Schedule of the Capital Markets (Securities) (Growth Enterprises Market Segment Disclosure Requirements) Regulations, 2002 (the "Regulations"), as amended by the Capital Markets (Securities) (Public Offers, Listings and Disclosures) (Amendment) Regulations, 2012.

Responsibility of the directors

The directors of FTG Holdings Limited (the "Company") are responsible for the preparation of the Listing Statement and all the information contained therein and for the financial statements to which this Accountant's Report relates and from which it has been prepared.

Our responsibility and procedures applied

Our responsibility is to review the combined financial statements of the Group prepared on the basis as detailed in Note 1, accounting policy (a) to the financial statements (collectively referred to as the "FTG Group") for the two years ended 31 December 2013 and the six month period ended 30 June 2014 (collectively referred to as the "Financial Information") based on the audited and unaudited financial statements for the respective periods under the requirements of International Standard on Review Engagements 2400 - Engagements to Review Financial Statements ("ISRE 2400"). The objective of the engagement was to enable us to state whether, on the basis of our review procedures which do not provide all the evidence that would be required in an audit, anything has come to our attention that causes us to believe that the financial statements were not prepared, in all material respects, in accordance with International Financial Reporting Standards (IFRS).

The financial information set out in this report has been compiled in accordance with the International Standard on Related Services 4410 - Engagements to Compile Financial Statements ("ISRS 4410").

In meeting the requirements above, we: reviewed the audited financial statements of the Group included in the Accountant's Report for each of the two years ended 31 December 2013 for compliance with International Financial Reporting Standards (IFRS) and consistency of application of accounting policies;

reviewed the unaudited financial information for six month period ended 30 June 2014 included in the Accountant's Report for compliance with International Financial Reporting Standards (IFRS) and consistency of application of accounting policies under the requirements of International Standard on Review Engagements 2410 - Review of Interim Financial Information Performed by the Independent Auditor of the Entity ("ISRE 2410"); made enquiries as required by ISRE 4410 of management about the operations of the Group, its accounting principles and practices and other significant matters relevant to the Financial Information and have applied that knowledge in compiling the financial statements. We have also applied knowledge obtained from carrying out review procedures on the financial statements.

We have reviewed the Directors' assumptions with regards to the working capital position of the group for the next 12 months from the date of the listing. We conducted our review in accordance with International Standard

on Assurance Engagements (ISAE) 3400 - The Examination of Prospective Financial Information, which are future financial forecasts of the group on which this working capital requirements are based on. The objective of this review is to enable us to obtain sufficient and appropriate evidence as to the Director's opinion on working capital adequacy for the next 12 months after the listing, as stated on page XX of the listing statement.

The financial statements for the year ended 31 December 2013 and 31 December 2012 of the combined entities were audited by the following independent auditors:

Entity name	Independent auditor
Roto Moulders Limited	Grant Thornton, (Nairobi, Kenya)
Flame Tree Africa Limited	PKF Kenya, (Nairobi, Kenya)
Happy Eaters Kenya Limited	RSM Ashvir, (Nairobi, Kenya)
Cherry Styles Limited	PKF Kenya, (Nairobi, Kenya)
Roto Limited	Raj Aboo Associates Limited, (Kigali, Rwanda)
Flame Tree Brands Limited	PKF Rwanda Limited, (Kigali, Rwanda)
Build Mart Limited	PKF Rwanda Limited, (Kigali, Rwanda)
Rino Tanques LDA	Aries Sercon, (Maputo, Mozambique)
Roto Private Limited Company	Habtamu Tesfaye & Co, (Addis Ababa, Ethiopia)
Cirrus International FZC	RSM Dhaman, (Abu Dhabi, United Arab Emirates)

The combined financial statements have been prepared on the basis of the accounting policies set out on pages 7 to 15 of the Accountant's Report. For all accounting periods dealt with in this report, the financial statements have, in all material respects, been prepared in accordance with International Financial Reporting Standards. Where necessary, the financial statements have been adjusted for the years ending 31 December 2013 and 31 December 2012 to reflect the accounting policies of the Group as will be applied in the financial statements for the year ending 31 December 2014. Such accounting policy changes include the retrospective effect of adoption of new and revised International Financial Reporting Standards.

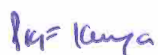
We draw your attention to Note 9 of these combined financial statements that explains how the Share Capital reflected in these financial statements has been arrived at.

Review Opinion

Reviews carried out in accordance with ISRE 2400 and ISRE 2410 as well as a compilation under ISRS 4410 are substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently do not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion. However, based on our review, nothing has come to our attention that causes us to believe that the accompanying combined financial statements of the Group for each of the two years ended 31 December 2013 and the six month period ended 30 June 2014 do not give a true and fair view, for the purposes of the Listing Statement, in accordance with International Financial Reporting Standards (IFRS).

In respect of the adequacy of working capital, based on our review and the enquiries with the Directors, nothing has come to our attention which causes us to believe that the assumptions made by the Directors in arriving at their assessment of the adequacy of the working capital for at least the next 12 months after the date of the listing are unreasonable.

We consent to the inclusion of this report in the FTG Holdings Limited Listing Statement to be issued in the form and context in which it appears.



PKF Kenya
Certified Public Accountants

Combined Statement of profit and loss and other comprehensive income

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

COMBINED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Notes	6 months to 30 June 2014 Shs	12 months to 31 December 2013 Shs	12 months to 31 December 2012 Shs
Revenue	3	778,543,739	1,601,356,664	1,542,619,274
Cost of sales		<u>(535,080,598)</u>	<u>(1,018,821,135)</u>	<u>(1,061,965,400)</u>
Gross profit		243,463,141	582,535,529	480,653,874
Other operating income	4	3,460,268	1,074,535	3,345,236
Distribution costs		<u>(76,240,191)</u>	<u>(136,768,829)</u>	<u>(144,049,857)</u>
Administrative expenses		<u>(82,651,431)</u>	<u>(165,574,079)</u>	<u>(158,787,160)</u>
Other operating expenses		<u>(31,198,857)</u>	<u>(62,077,147)</u>	<u>(50,769,792)</u>
Operating profit before gain/(loss) on disposal of property, plant and equipment	5	56,832,930	219,190,009	130,392,301
Gain/(loss) on disposal of property, plant and equipment		<u>61,044,243</u>	<u>-</u>	<u>(21,438)</u>
Operating profit after gain/(loss) on disposal of property, plant and equipment		117,877,173	219,190,009	130,370,863
Finance costs	7	<u>(33,373,913)</u>	<u>(45,953,750)</u>	<u>(90,860,169)</u>
Profit before tax		84,503,260	173,236,259	39,510,694
Tax	8	<u>(6,251,817)</u>	<u>(24,188,870)</u>	<u>12,771,294</u>
Profit for the period/year		78,251,443	149,047,389	52,281,988
Other comprehensive income:				
Items that may be reclassified subsequently to profit or loss:				
- Exchange differences on translation of foreign operations		<u>(1,547,408)</u>	<u>(2,875,680)</u>	<u>912,587</u>
Total comprehensive income for the year		<u>76,704,035</u>	<u>146,171,709</u>	<u>53,194,575</u>
Dividend:				
Dividend paid during the period/year	22	<u>73,855,168</u>	<u>89,597,728</u>	<u>119,232,932</u>
Total comprehensive income attributable to equity shareholders arises from:				
- Continuing operations		<u>76,704,035</u>	<u>146,171,709</u>	<u>53,194,575</u>
Earnings per share (22,700,586 ordinary shares of FTG Holdings Limited - See Note 9)		<u>3.38</u>	<u>6.44</u>	<u>2.34</u>

Combined Statement of Financial Position

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended

31 December 2012

COMBINED STATEMENT OF FINANCIAL POSITION

	Notes	As at 30 June 2014 Shs	As at 31 December 2013 Shs	As at 31 December 2012 Shs
Equity				
Share capital	9	113,502,932.000	-	-
Legal reserves		1,595,016	1,595,016	1,595,016
Retained earnings		89,389,138	198,495,795	106,910,634
Translation reserve		(3,510,501)	(1,963,093)	912,587
Total Equity		200,976,585	198,127,718	109,418,237
Non-current liabilities				
Borrowings	10	193,378,580	105,490,545	120,203,437
Total equity and non-current liabilities		394,355,165	303,618,263	229,621,674
Non-current assets				
Deferred tax	11	24,034,509	22,443,838	30,777,148
Property, plant and equipment	12	154,040,979	163,230,475	183,059,773
		178,075,488	185,674,313	213,836,921
Current assets				
Inventories	13	117,156,604	123,324,072	94,642,342
Trade and other receivables	14	401,416,213	532,357,443	395,968,394
Cash and cash equivalents	15	18,189,249	31,695,148	30,860,820
Tax recoverable		3,659,905	2,758,399	3,618,347
		540,421,971	690,135,062	525,089,903
Current liabilities				
Borrowings	10	82,927,403	105,313,120	108,195,440
Trade and other payables	16	241,214,891	466,877,992	391,609,710
Deposit for shares	17	-	-	9,500,000
		324,142,294	572,191,112	509,305,150
Net current assets		216,279,677	117,943,950	15,784,753
		394,355,165	303,618,263	229,621,674

Pro-forma Balance Sheet Following Private Placement

Below is a pro-forma balance sheet reflecting the proceeds of the private placement that was completed prior to the listing by introduction, raising KES 194,299,944.

FTG Group

Proforma balance sheet post money

COMBINED STATEMENT OF FINANCIAL POSITION

	Notes	Pre money Shs	Receipt of money	Post money
Equity				
Share capital	9	113,502,932	20,037,182	133,540,114
Share premium		-	174,262,762	174,262,762
Legal reserves		1,595,016		1,595,016
Retained earnings		89,389,138		89,389,138
Translation reserve		(3,510,501)		(3,510,501)
Total Equity		<u>200,976,585</u>		<u>395,276,529</u>
Non-current liabilities				
Borrowings	10	<u>193,378,580</u>		<u>193,378,580</u>
Total equity and non-current liabilities		<u>394,355,165</u>		<u>588,655,109</u>
Non-current assets				
Deferred tax	11	24,034,509		24,034,509
Property, plant and equipment	12	<u>154,040,979</u>		<u>154,040,979</u>
		<u>178,075,488</u>		<u>178,075,488</u>
Current assets				
Inventories	13	117,156,604		117,156,604
Trade and other receivables	14	401,416,213		401,416,213
Cash and cash equivalents	15	18,189,249	194,299,944	212,489,193
Tax recoverable		<u>3,659,905</u>		<u>3,659,905</u>
		<u>540,421,971</u>		<u>734,721,915</u>
Current liabilities				
Borrowings	10	82,927,403		82,927,403
Trade and other payables	16	241,214,891		241,214,891
Deposit for shares	17	<u>-</u>		<u>-</u>
		<u>324,142,294</u>		<u>324,142,294</u>
Net current assets		<u>216,279,677</u>		<u>410,579,621</u>
		<u>394,355,165</u>		<u>588,655,109</u>

Combined Statement of Changes in equity

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

COMBINED STATEMENT OF CHANGES IN EQUITY

	Notes	Share capital Shs	Legal reserves* Shs	Retained earnings** Shs	Translation reserve*** Shs	Total equity Shs
Year ended 31 December 2012						
At start of the year		-	1,595,016	173,861,578	-	175,456,594
Total comprehensive income for the year		-	-	52,281,988	912,587	53,194,575
Transactions with owners:						
Dividend paid	22	-	-	(119,232,932)	-	(119,232,932)
At end of year		-	1,595,016	106,910,634	912,587	109,418,237
Year ended 31 December 2013						
At start of year		-	1,595,016	106,910,634	912,587	109,418,237
Total comprehensive income for the year		-	-	149,047,389	(2,875,680)	146,171,709
Transactions with owners:						
Issue of share capital (by one of the combined entities)		-	-	32,135,500	-	32,135,500
Dividend paid	22	-	-	(89,597,728)	-	(89,597,728)
At end of year		-	1,595,016	198,495,795	(1,963,093)	198,127,718
Period ended 30 June 2014						
At start of period		-	1,595,016	198,495,795	(1,963,093)	198,127,718
Total comprehensive income for the period		-	-	78,251,443	(1,547,408)	76,704,035
Transfers	9	113,502,932	-	(113,502,932)	-	-
Transactions with owners:						
Dividend paid	22	-	-	(73,855,168)	-	(73,855,168)
At end of period		113,502,932.000	1,595,016	89,389,138	(3,510,501)	200,976,585

* The legal reserve relates to a portion of retained earnings that have been put into a separate reserve as required by the Companies Act of Ethiopia. The reserve is not distributable.

** These represent the shareholders' funds of the various entities whose financial statements have been combined.

*** On combination of the financial statements, the translation reserve arises from translation of foreign currency balances of the group companies. The reserve is not distributable.

Combined Statement of Cash Flows

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

COMBINED STATEMENT OF CASH FLOWS

		6 months to 30 June 2014	12 months to 31 December 2013	12 months to 31 December 2012
Operating activities	Notes	Shs	Shs	Shs
Cash (used in)/from operations	18	(20,296,334)	155,235,816	191,526,282
Interest paid		(30,076,940)	(33,056,610)	(86,923,715)
Tax paid		(8,743,994)	(14,995,612)	(15,156,636)
Net cash (used in)/from operating activities		(59,117,268)	107,183,594	89,445,931
Investing activities				
Purchase of property, plant and equipment	12	(7,690,111)	(9,799,379)	(36,616,166)
Proceeds from disposal of property, plant and equipment		65,265,256	-	64,992
Net cash from/(used in) investing activities		57,575,145	(9,799,379)	(36,551,174)
Financing activities				
Net advances/(repayments) of borrowings		72,346,253	(32,481,932)	(9,962,467)
Issue of shares		-	32,135,500	-
Refund of deposit for shares	17	-	(9,500,000)	-
Dividend paid	22	(73,855,168)	(89,597,728)	(119,232,932)
Net cash (used in) financing activities		(1,508,915)	(99,444,160)	(129,195,399)
(Decrease) in cash and cash equivalents		(3,051,038)	(2,059,945)	(76,300,642)
Movement in cash and cash equivalents				
At start of period/year		(20,068,452)	(6,016,060)	69,870,124
(Decrease)		(3,051,038)	(2,059,945)	(76,300,642)
Foreign exchange loss and effects of translation of opening cash and cash equivalents		(3,610,926)	(11,992,447)	414,458
At end of period/year	15	(26,730,416)	(20,068,452)	(6,016,060)

Notes

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

NOTES

1. Summary of Significant Accounting Policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

a) Basis of preparation

These financial statements comprise combined financial statements of the following individual entities that are currently under common control:

Entity	Country of incorporation of entity	% shares of FTG Holdings Limited	Principal activity
Roto Moulders Limited	Kenya	100	Manufacture and trade of plastic products
Flame Tree Africa Limited	Kenya	100	Manufacture and trade of cosmetic products
Happy Eaters Kenya Limited	Kenya	100	Food industry
Cherry Styles Limited	Kenya	100	Manufacture and trade of cosmetic products
Roto Limited	Rwanda	100	Manufacture and trade of plastic products
Flame Tree Brands Limited	Rwanda	100	Trading in cosmetics
Build Mart Limited	Rwanda	100	Trading in construction material
Rino Tanques LDA	Mozambique	100	Manufacture and trade of plastic products
Roto Private Limited Compar	Ethiopia	100	Manufacture and trade of plastic products
	United Arab		
Cirrus International FZC	Emirates	100	Trading in commodities

As at 30 June 2014, a parent and subsidiary relationship did not exist. The relationship was entered into by the group on various dates ranging from 1 August 2014 to 4 September 2014, which fall after the financial reporting date of the group. For the purposes of these financial statements, it has been assumed that FTG Holdings Limited (parent) owns 100% of the group companies as listed above.

The combination of the financial statements of the entities above is carried out bearing in mind that as at the reporting date, these entities represent wholly owned subsidiaries of FTG Holdings Limited (incorporated in Mauritius on 18 January 2012) under a restructuring project that has been completed as at the date of issuing the listing statement. The combined group, for the purposes of these financial statements known as 'FTG Group' therefore is expected to represent a 'group' under the definitions of IFRS 10 on 'Consolidated Financial Statements'. Combined financial statements have been presented to faithfully represent the financial performance and position of the group as will be presented once the restructuring is complete.

The process of preparing these combined financial statements is based on the requirements of IFRS 10 of preparing consolidated financial statements of a group. Under this process intra-group balances, income and expenses on transactions between combined entities are eliminated. Profits and losses resulting from inter-group transactions that are recognised in assets are also eliminated.

As the group is under common control, the combination of entities has been carried out on the basis of merger accounting principles with no recognition of goodwill. Assets and liabilities are combined at book

values. For purposes of the currency translation reserve, the date of combination has been taken to be 1 January 2012.

Accounting policies of individual entities have been aligned to the accounting policies that will be adopted by the group for its first financial statements for the period ended 31 December 2014.

The combined financial statements have been prepared under the historical cost convention, and are in accordance with International Financial Reporting Standards (IFRS). The historical cost convention is generally based on the fair value of the consideration given in exchange of assets.

Going concern

The financial performance of the group is set out in the combined statement of profit or loss and the other comprehensive income. The financial position of the group is set out in the statement of financial position. Disclosures in respect of risk management are set out in Note 21. Disclosures in respect of capital management are set out in Note 20.

Based on the financial performance and position of the group and its risk management policies, the directors are of the opinion that the group is well placed to continue in business for the foreseeable future and as a result the financial statements are prepared on a going concern basis.

New and amended standards adopted by the group for the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

The Group has applied the amendments to IAS 1 Presentation of Items of Other Comprehensive Income. Under the amendments to IAS 1, the 'statement of comprehensive income' requires separately analysis of items that will not be subsequently reclassified to profit or loss and those that will be subsequently reclassified, including the related income tax effects. These changes have been retrospectively applied. Other than the above mentioned presentation changes, the application of the amendments to IAS 1 do not result in any impact on profit or loss, comprehensive income and total comprehensive income.

The Group has applied the amendments to IFRS 7 Disclosures offsetting financial assets and liabilities—Transfers of financial assets in the current year. The amendments improve the disclosure requirements for transactions involving the transfer of financial assets. As the group did not transfer any financial assets that were not recognised, this had no material impact on the financial statements.

The Group has applied the amendments to IAS 12 - 'Income Taxes' on Deferred Tax - Recovery of underlying assets in the current year. Under the amendments, investment properties that are measured using the fair value model in accordance with IAS 40 investment property are presumed to be recovered entirely through sale for the purposes of measuring deferred taxes unless the presumption is rebutted. As the group does not have any investment properties, this had no material impact on the financial statements.

International Financial Reporting Standard 10 (IFRS 10) on 'Consolidated Financial Statements' builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent group. The standard provides additional guidance to assist in the determination of control where this is difficult to assess. The adoption of IFRS 10 did not have any material impact on the financial statements.

International Financial Reporting Standard 12 (IFRS 12) on 'Disclosures of Interests in Other Entities' enhances the disclosure requirements about an entity's interests in subsidiaries, joint arrangements, associates and unconsolidated 'structured entities'.

International Financial Reporting Standard 13 (IFRS 13) on 'Fair Value Measurement' – The standard aims to improve consistency and reduce complexity by providing a more precise definition and a single source of measurement of fair valuation of certain assets and liabilities and the related disclosure requirements. Adoption of IFRS 13 had no material impact on the financial statements.

New and amended standards adopted by the group for the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012 (continued)

IAS 19, 'Employee benefits' was amended in June 2011. The impact of the revision included elimination of the corridor approach and recognition all actuarial gains and losses in other comprehensive income as they occur; to immediately recognise all past service costs; and to replace interest cost and expected return on plan assets with a net interest amount that is calculated by applying the discount rate to the net defined benefit liability (asset). As the group does not have any defined benefit schemes, these revisions have not had material impact on the financial statements.

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements for financial instruments under an enforceable master netting agreement or similar arrangement.

Amendments to IAS 32: The amendments to IAS 32 clarify existing application issues relating to the offset of financial assets and financial liabilities requirements. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off and simultaneous realization and settlement'.

As the group does not have material offsetting arrangements, these amendments do not have a material impact on the financial statements. New standards, amendments and interpretations issued but not effective for the financial year beginning 1 January 2014 and not adopted in advance of the effective date IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. IFRS 9 requires financial assets to be classified into two principal measurement categories: those measured as at fair value and those measured at amortised cost. IFRS 9 also now includes provisions for hedge accounting. The group is yet to assess IFRS 9's full impact and intends to adopt IFRS 9 for the financial statements for the year ending 31 December 2018.

International Financial Reporting Standard 11 (IFRS 11) on 'Joint Arrangements' outlines the accounting treatments for entities that represent jointly controlled operations and prescribes equity method accounting for jointly controlled entities. IAS 28 'Investments in Associates and Joint Ventures', was also revised during the year. The amendments to IAS 28 and the release of IFRS 11 had no material impact on these financial statements.

Amendments to IAS 36, Disclosure of recoverable amounts of non-financial assets, IAS 39, Novation of derivatives and IFRIC 21, Levies are not effective until annual periods beginning on or after 1 January 2014, with retrospective application permissible.

Amendments to IFRS 10, 'Consolidated financial statements', IFRS 12, 'Disclosures of interests in other entities' and IAS 27, 'Consolidated and separate financial statements' define an investment entity and requires the group not to consolidate its subsidiaries but instead to measure its subsidiaries at fair value through profit or loss in its consolidated and separate financial statements. These amendments are not effective until annual periods beginning on or after 1 January 2014, with retrospective application permissible.

IFRS 14 Regulatory Deferral Accounts permits an entity which is a first-time adopter of IFRS to continue to account, with some limited changes, for 'regulatory deferral account balances' in accordance with its previous GAAP, both on initial adoption of IFRS and in subsequent financial statements. Regulatory deferral account balances, and movements in them, are presented separately in the statement of financial position and statement of profit or loss and other comprehensive income, and specific disclosures are required. IFRS 14 was issued in January 2014 and applies to an entity's first annual IFRS financial statements for a period beginning on or after 1 January 2016.

IFRS 15 'Revenue from Contracts with Customers' specifies how and when revenue shall be recognised and also requires entities to provide users of financial statements with more informative, relevant disclosures. The standard provides a single, principles based five-step model to be applied to all contracts with customers. IFRS 15 was issued in May 2014 and applies to an annual reporting period beginning on or after 1 January 2017.

The group has not assessed the potential impact of the above changes on its combined financial statements. There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the group.

The directors of the group confirm that there is adequate working capital available to the group for its present requirements and for the next twelve months following the listing.

b) Key sources of estimation uncertainty

In the application of the accounting policies, the directors are required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other relevant factors. Such estimates and assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The directors have made the following estimates that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

- **Impairment of receivables** - the group reviews their portfolio of receivables at the reporting date. In determining whether receivables are impaired, the management makes judgement as to whether there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.
- **Useful lives of property, plant and equipment** - Management reviews the useful lives and residual values of the items of property, plant and equipment at each reporting date. During the financial periods under review, the directors determined no significant changes in the useful lives and residual values.

c) Significant judgements made by management in applying the group's accounting policies

Directors have made the following judgements that are considered to have the most significant effect on the amounts recognised in the financial statements:

- **Revenue recognition** - In making their judgement, the directors considered the detailed criteria for the recognition of revenue from the sale of goods set out in IAS 18 and, in particular, whether the group had transferred to the buyer the significant risks and rewards of ownership of the goods.
- **Valuation of inventory work in progress** - work in progress comprises design costs, raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity) and is valued based on the stage of completion of the product.
- **Control of entities combined** - The directors of FTG Group have assessed whether or not the group has common control over each of the entities whose financial statements have been combined. In making their judgement, the directors considered for each entity, the shareholders of each entity and the level of influence of the directors on the operating and financial policies of each of the entities whose financial statements have been combined.

d) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and/or performance of services, in the ordinary course of business and is stated net of Value Added Tax (VAT), rebates and discounts.

The group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the group's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved. The group bases its estimates on historical results, taking into consideration the type of customer, type of transaction and specifics of each arrangement.

- (i) Sales of goods are recognised upon delivery of products and customer acceptance.

(ii) Sales from performance of services are recognised upon performance of the services.

e) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings (the functional currency of the group), at the rates ruling at the transaction dates.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

The resulting differences from conversion and translation are dealt with in profit or loss in the year in which they arise except:

- exchange differences on transactions entered into in order to hedge certain foreign currency risks; and
- exchange differences on monetary items receivable from or payable to a foreign operation for which settlement is neither planned nor likely to occur (therefore forming part of the net investment in the foreign operation), which are recognised initially in other comprehensive income and reclassified from equity to profit or loss on repayment of the monetary items.

Group companies

For the purposes of preparing the combined financial statements the functional and presentation currency is Kenya Shillings as the control of the group is in Kenya and a majority of the transactions within the group are undertaken in Kenya Shillings and it is also a requirement of the Capital Markets Authority to present the information memorandum in Kenya Shillings.

The results and financial position of the group companies that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that reporting date.
- income and expenses for each statement of comprehensive income are translated at average exchange rates.
- all resulting exchange differences are recognised under a separate component of equity.

Upon combination, exchange differences arising from the translation of the net investment in foreign entities are taken to other comprehensive income.

f) Property, plant and equipment

All property, plant and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred.

Leasehold land is depreciated over the remaining period of the lease.

Depreciation on all other assets is calculated on the reducing balance basis method to write down the cost of each asset to its residual value over its estimated useful life using the following annual rates:

	<u>Rate %</u>
Buildings	2 - 5 (Straight line basis)
Plant and machinery	12.5 - 20
Furniture, fixtures and office equipment	12.5 - 20
Motor vehicles	20 - 40
Computer equipment	30 - 45

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit.

g) Financial instruments

Financial assets and financial liabilities are recognised when the group becomes a party to the contractual provisions of the instrument. Management determines all classification of financial assets at initial recognition.

• Financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

The group's financial assets which include trade and other receivables, cash and cash equivalents and tax recoverable fall into the following category:

- **Loans and receivables:** financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the reporting date. All assets with maturities greater than 12 months after the reporting date are classified as non-current assets. Subsequent to initial recognition, they are carried at amortised cost using the effective interest method. Changes in the carrying amount are recognised in profit or loss.

Purchases and sales of financial assets are recognised on the trade date i.e. the date on which the group commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the group has transferred substantially all risks and rewards of ownership.

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognised in profit or loss under administrative expenses when there is objective evidence that the group will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganisation, default in payments and a prolonged decline in fair value of the asset are considered indicators that the asset is impaired.

The amount of the impairment loss is calculated as the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial instrument's effective interest rate. Impairment losses are recognised in profit or loss.

Gains and losses on disposal of assets whose changes in fair value were initially recognised in profit or loss are determined by reference to their carrying amount and are taken into account in determining operating profit.

• Financial liabilities

The group's financial liabilities which include borrowings and trade and other payables fall into the following category:

Financial liabilities measured at amortised cost: These are initially measured at fair value and subsequently measured at amortised cost, using the effective interest rate method.

Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs under the effective interest rate method.

Borrowings are initially recognised at fair value, net of transaction costs incurred and are subsequently stated at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs.

Fees associated with the acquisition of borrowing facilities are recognised as transaction costs of the borrowing to the extent that it is probable that some or all of the facilities will be acquired. In this case the fees are deferred until the drawn down occurs. If it is not probable that some or all of the facilities will be acquired the fees are accounted for as prepayments under trade and other receivables and amortised over the period of the facility.

All financial liabilities are classified as current liabilities unless the group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Financial liabilities are derecognised when, and only when, the group's obligations are discharged, cancelled or expired.

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when there is a legally enforceable right to offset the amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

h) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) method. The cost of all inventories comprises raw materials, direct labour, other direct costs and related production overheads attributable to bringing the inventory to its present location and condition (based on normal operating capacity). Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

i) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks net of bank overdrafts.

In the statement of financial position, bank overdrafts are included within borrowings in current liabilities.

j) Share Capital

Ordinary shares are classified as equity.

k) Taxation

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss.

- **Current tax**

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

- **Deferred tax**

Deferred tax is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary timing differences can be utilised.

l) Accounting for leases

Leases of property, plant and equipment, where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalised at cost. Each lease payment is allocated between the liability and finance charges. The interest element is charged to profit or loss over the lease period and is included under finance costs. Such property, plant and equipment is depreciated over its useful life.

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

m) Dividends

Proposed dividends are disclosed as a separate component of equity until declared. Dividends are recognised as liabilities in the period in which they are approved by the company's shareholders.

n) Segment reporting

Operating segments are reported based on the operating activity of the group companies and in a manner consistent with the internal reporting expected to be provided to the board of directors of the combined group, who will be responsible for allocating resources, assessing performance of the operating segments and making strategic decisions.

o) Employee entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

p) Retirement benefit obligations

Employee entitlements to long service awards are recognised when they accrue to employees. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The group's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate.

q) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

NOTES (CONTINUED)

2. Segment reporting

Information expected to be reported to the Board of Directors of the combined group for the purposes of resource allocation and assessment of segment performance is focused on manufacturing and trading and as a result the group's reportable segments under IFRS 8 are as follows:

Manufacturing

Trading

Group combined statement of profit or loss and other comprehensive income for the 6 month period ended 30 June 2014

	Manufacturing Shs	Trading Shs	Total Shs
Gross revenue	602,160,190	264,389,557	866,549,747
Eliminated on consolidation	<u>(40,596,981)</u>	<u>(47,409,027)</u>	<u>(88,006,008)</u>
Net sales	<u>561,563,209</u>	<u>216,980,530</u>	<u>778,543,739</u>
Gross profit	<u>169,034,777</u>	<u>74,428,365</u>	<u>243,463,142</u>
Profit before tax	<u>23,230,416</u>	<u>61,272,844</u>	<u>84,503,260</u>
The Group operates in 2 continents. The revenue by continent is as follows:			
Africa	649,569,217	48,849,747	698,418,964
Asia	<u>-</u>	<u>168,130,784</u>	<u>168,130,784</u>
	<u>649,569,217</u>	<u>216,980,530</u>	<u>866,549,748</u>

NOTES (CONTINUED)

2. Segment reporting (continued)

Group combined statement of financial position as at June 2014

	Manufacturing Shs	Trading Shs	Total Shs
Total Equity	<u>118,514,115</u>	<u>82,462,470</u>	<u>200,976,585</u>
Non-current liabilities	<u>188,766,676</u>	<u>4,611,904</u>	<u>193,378,580</u>
Total equity and non-current liabilities	<u>307,280,791</u>	<u>87,074,374</u>	<u>394,355,165</u>
Non-current assets	<u>168,911,036</u>	<u>9,164,452</u>	<u>178,075,488</u>
Current assets	<u>425,131,237</u>	<u>115,290,734</u>	<u>540,421,971</u>
Current liabilities	<u>286,761,482</u>	<u>37,380,812</u>	<u>324,142,294</u>
Net current assets	<u>138,369,755</u>	<u>77,909,922</u>	<u>216,279,677</u>
Non-current assets and net current assets	<u>307,280,791</u>	<u>87,074,374</u>	<u>394,355,165</u>
Other segment information:			
Depreciation on property, plant and equipment	<u>11,150,055</u>	<u>275,084</u>	<u>11,425,139</u>
Additions to non-current assets	<u>7,479,119</u>	<u>210,992</u>	<u>7,690,111</u>

NOTES (CONTINUED)

2. Segment reporting (continued)

Group combined statement of profit or loss and other comprehensive income for the year ended 31 December 2013

	Manufacturing Shs	Trading Shs	Total Shs
Gross revenue	1,205,006,413	586,199,403	1,791,205,816
Eliminated on consolidation	<u>(38,782,624)</u>	<u>(151,066,528)</u>	<u>(189,849,152)</u>
Net sales	<u>1,166,223,789</u>	<u>435,132,875</u>	<u>1,601,356,664</u>
Gross profit	<u>428,068,313</u>	<u>154,467,216</u>	<u>582,535,529</u>
Profit before tax	<u>40,285,841</u>	<u>132,950,418</u>	<u>173,236,259</u>
The Group operates in 2 continents. The revenue by continent is as follows:			
Africa	1,166,223,789	69,020,628	1,235,244,418
Asia	<u>-</u>	<u>366,112,246</u>	<u>366,112,246</u>
	<u>1,166,223,789</u>	<u>435,132,875</u>	<u>1,601,356,664</u>

NOTES (CONTINUED)

2. Segment reporting (continued)

Group combined statement of financial position as at 31 December 2013

	Manufacturing Shs	Trading Shs	Total Shs
Total Equity	<u>102,642,642</u>	<u>95,485,076</u>	<u>198,127,718</u>
Non-current liabilities	<u>101,504,136</u>	<u>3,986,409</u>	<u>105,490,545</u>
Total equity and non-current liabilities	<u>204,146,777</u>	<u>99,471,486</u>	<u>303,618,263</u>
Non-current assets	<u>176,186,404</u>	<u>9,487,909</u>	<u>185,674,313</u>
Current assets	<u>529,659,401</u>	<u>160,475,661</u>	<u>690,135,062</u>
Current liabilities	<u>501,699,028</u>	<u>70,492,084</u>	<u>572,191,112</u>
Net current assets	<u>27,960,373</u>	<u>89,983,577</u>	<u>117,943,950</u>
Non-current assets and net current assets	<u>204,146,777</u>	<u>99,471,486</u>	<u>303,618,263</u>
Other segment information:			
Depreciation on property, plant and equipment	<u>25,314,959</u>	<u>533,345</u>	<u>25,848,304</u>
Additions to non-current assets	<u>8,999,412</u>	<u>799,967</u>	<u>9,799,379</u>

NOTES (CONTINUED)

2. Segment reporting (continued)

Group combined statement of profit or loss and other comprehensive income for the year ended 31 December 2012

	Manufacturing Shs	Trading Shs	Total Shs
Gross revenue	1,225,186,852	476,008,531	1,701,195,383
Inter-segment sales	<u>(7,504,415)</u>	<u>(151,071,694)</u>	<u>(158,576,109)</u>
Net sales	<u>1,217,682,437</u>	<u>324,936,837</u>	<u>1,542,619,274</u>
Gross profit	<u>383,714,306</u>	<u>96,939,568</u>	<u>480,653,874</u>
Profit before tax	<u>(48,740,783)</u>	<u>88,251,477</u>	<u>39,510,694</u>
The Group operates in 2 continents. The revenue by continent is as follows:			
Africa	1,217,682,437	43,978,237	1,261,660,674
Asia	<u>-</u>	<u>280,958,600</u>	<u>280,958,600</u>
	<u>1,217,682,437</u>	<u>324,936,837</u>	<u>1,542,619,274</u>

NOTES (CONTINUED)

2. Segment reporting (continued)

Group combined statement of financial position as at 31 December 2012

	Manufacturing Shs	Trading Shs	Total Shs
Total Equity	<u>69,054,053</u>	<u>49,864,184</u>	<u>118,918,237</u>
Non-current liabilities	<u>113,923,474</u>	<u>6,279,963</u>	<u>120,203,437</u>
Total equity and non-current liabilities	<u>182,977,527</u>	<u>56,144,147</u>	<u>239,121,674</u>
Non-current assets	<u>203,725,580</u>	<u>10,111,342</u>	<u>213,836,921</u>
Current assets	<u>421,193,736</u>	<u>103,896,167</u>	<u>525,089,903</u>
Current liabilities	<u>441,941,788</u>	<u>57,863,362</u>	<u>499,805,150</u>
Net current (liabilities)/assets	<u>(20,748,052)</u>	<u>46,032,805</u>	<u>25,284,753</u>
Non-current assets and net current assets	<u>182,977,527</u>	<u>56,144,147</u>	<u>239,121,674</u>
Other segment information:			
Depreciation on property, plant and equipment	<u>26,525,834</u>	<u>223,580</u>	<u>26,749,414</u>
Additions to non-current assets	<u>26,495,002</u>	<u>10,121,164</u>	<u>36,616,166</u>

Segment revenue reported above represents revenue generated from external customers.

The accounting policies of the reportable segments are the same as the Group's accounting policies described in Note 1 of these financial statements.

FTG Group

Combined financial statements

For the 6 month period ended 30 June 2014, year ended 31 December 2013 and year ended 31 December 2012

NOTES (CONTINUED)

	6 months to 30 June 2014	12 months to 31 December 2013	12 months to 31 December 2012
	Shs	Shs	Shs
3. Revenue			
Sale of goods and services	<u>778,543,739</u>	<u>1,601,356,664</u>	<u>1,542,619,274</u>
4. Other operating income			
Miscellaneous income	3,280,368	1,074,535	2,244,280
Bad debts recovered	-	-	1,100,956
Proceeds from sale of scrap assets	<u>179,900</u>	<u>-</u>	<u>-</u>
	<u>3,460,268</u>	<u>1,074,535</u>	<u>3,345,236</u>
5. Operating profit			
The following items have been charged/(credited) in arriving at the operating profit:			
Depreciation on property, plant and equipment (Note 12)	11,425,139	25,848,304	26,749,414
Repairs and maintenance	5,441,264	5,099,283	6,481,931
Operating lease rentals	18,712,991	33,022,471	25,191,786
(Gain)/loss on disposal of property, plant and equipment	(61,044,243)	-	21,438
Auditors' remuneration			
- Current year	937,426	1,848,337	1,110,222
- Under provision in prior years	-	149,221	120,500
Bad debts	46,570	68,162	498,572
Staff costs (Note 6)	<u>89,963,755</u>	<u>170,345,858</u>	<u>156,233,651</u>
6. Staff costs			
Salaries and wages			
- direct costs	34,775,303	71,266,607	71,128,224
- administrative expenses	50,601,783	93,004,983	78,930,334
Other staff costs	<u>4,586,669</u>	<u>6,074,268</u>	<u>6,175,093</u>
	<u>89,963,755</u>	<u>170,345,858</u>	<u>156,233,651</u>
7. Finance costs			
Finance lease interest	213,063	720,022	3,465,081
Bank loan interest	22,229,730	15,538,119	65,815,096
Bank overdraft interest	7,634,147	16,798,469	17,643,538
Foreign exchange loss	<u>3,296,973</u>	<u>12,897,140</u>	<u>3,936,454</u>
	<u>33,373,913</u>	<u>45,953,750</u>	<u>90,860,169</u>
8. Tax			
Current tax	7,842,488	15,855,560	11,538,289
Deferred tax (credit)/charge (Note 11)	<u>(1,590,671)</u>	<u>8,333,310</u>	<u>(24,309,583)</u>
	<u>6,251,817</u>	<u>24,188,870</u>	<u>(12,771,294)</u>

The tax on the group's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

NOTES (CONTINUED)

	6 months to 30 June 2014 Shs	12 months to 31 December 2013 Shs	12 months to 31 December 2012 Shs
8. Tax (continued)			
Profit before tax	84,503,260	173,236,259	39,510,694
Tax calculated at a tax rate of 3% (2013 and 2012: 3%)	2,535,098	5,197,088	1,185,321
Tax effect of:			
- differential tax rates	22,815,880	46,773,790	10,667,887
- expenses not deductible for tax purposes	7,734,672	10,838,760	6,661,948
- income not subject to tax	(26,833,833)	(38,620,768)	(31,286,450)
Tax charge/(credit)	6,251,817	24,188,870	(12,771,294)

The domestic tax rates applicable to profits in the countries concerned is as follows:

Country	Tax rate on taxable profits	Withholding tax on dividend payments
Kenya	30%	5%
Rwanda	30%	15%
Mozambique	32%	20%
Ethiopia	30%	10%
United Arab Emirates	0%	0%

9. Share capital	2014 Shs	2013 Shs
22,700,586 shares of Shs 5 each	113,502,932	-

During the restructuring process (as explained in Note 1(a) of these financial statements), the shares of the entities were transferred to FTG Holdings Limited and as a result, once the restructuring process was completed, a parent - subsidiary relationship now exists as the date of issuing the listing statement. The shares of the entities were transferred at a consideration of Shs 113,502,932 and this sum was owed to the shareholders of the combined entities pre restructuring. The shareholders of the combined entities to whom this money was owed by FTG Holdings Limited have agreed to convert the amount to share capital and the relevant documents have been filed with the Registrar of Companies in Mauritius for such conversions as at the date of issuing the listing statement. As a result, the number reflected above is the share capital of FTG Holdings Limited, post restructuring.

10. Borrowings	2014 Shs	2013 Shs	2012 Shs
Non-current			
Shareholders loan (Note 19)	88,527,014	17,030,547	10,940,524
Bank loans	101,843,566	88,125,509	109,262,913
Finance leases	3,008,000	334,489	-
	<u>193,378,580</u>	<u>105,490,545</u>	<u>120,203,437</u>
Current			
Finance leases	303,996	303,996	-
Bank loans	37,703,742	53,245,524	71,318,560
Bank overdraft (Note 15)	44,919,665	51,763,600	36,876,880
	<u>82,927,403</u>	<u>105,313,120</u>	<u>108,195,440</u>
Total borrowings	276,305,983	210,803,665	228,398,877

NOTES (CONTINUED)

10. Borrowings (continued)

Weighted average effective interest rates at the reporting date were:	2014 %	2013 %	2012 %
Shareholders loan	Nil	Nil	Nil
Bank loans	18	21	17
Bank overdraft	18	21	17
Finance leases	9	9	9

The bank loans, bank overdraft and finance leases are secured as follows:

- a) Fixed and floating debenture over the assets of the group.
- b) Supplemental legal charge over L.R. 209/8918.
- c) Directors personal guarantees.
- d) A right over the leased assets.

Loans from shareholders are unsecured, interest free and have no fixed repayment date.

The borrowing facilities (except shareholders loans) expiring within one year are subject to review at various dates during the next financial year.

The exposure of the company's borrowings to interest rate changes and the contractual repricing dates at the reporting date are as follows:

	2014 Shs	2013 Shs	2012 Shs
12 months or less	187,778,969	193,773,118	217,458,353

The fair values of current borrowings equal to their carrying amount, as the impact of discounting is not significant. The fair values are based on cash flows discounted using the weighted average rates mentioned above.

In the opinion of the directors, it is impracticable to assign fair values to the group's long-term liabilities due to inability to forecast interest rate and foreign exchange rate changes.

The carrying amounts of borrowings are denominated in the following currencies:

	2014 Shs	2013 Shs	2012 Shs
Kenya Shilling	197,173,546	209,402,480	188,270,413
Other Currencies	79,132,437	1,401,185	40,128,464
	276,305,983	210,803,665	228,398,877
Maturity of non-current borrowings			
Between 2 to 5 years	193,378,580	105,490,545	120,203,437

There were no undrawn facilities as at the reporting date.

NOTES (CONTINUED)

11. Deferred tax

Deferred tax is calculated on all temporary timing differences under the liability method using a principal tax rate of 30% (2013: 30%, 2012: 30%). The movement on the deferred tax account is as follows:

	2014 Shs	2013 Shs	2012 Shs
At start of period/year	(22,443,838)	(30,777,148)	(6,467,565)
(Credit)/charge to profit or loss (Note 8)	<u>(1,590,671)</u>	<u>8,333,310</u>	<u>(24,309,583)</u>
At end of period/year	<u><u>(24,034,509)</u></u>	<u><u>(22,443,838)</u></u>	<u><u>(30,777,148)</u></u>

Deferred tax (asset) in the statement of financial position and deferred tax (credit)/charge to profit or loss are attributable to the following items:

Period ended 30 June 2014	At start of period Shs	Charge/(credit) to profit or loss Shs	At end of period Shs
Deferred tax (asset)/liability			
Tax losses carried forward	(20,229,401)	(1,490,810)	(21,720,211)
Excess depreciation over capital allowances	(2,622,669)	(116,978)	(2,739,647)
Unrealised exchange differences	<u>408,232</u>	<u>17,117</u>	<u>425,349</u>
Net deferred tax asset	<u><u>(22,443,838)</u></u>	<u><u>(1,590,671)</u></u>	<u><u>(24,034,509)</u></u>
Year ended 31 December 2013	At start of year Shs	Charge/(credit) to profit or loss Shs	At end of year Shs
Deferred tax (asset)/liability			
Tax losses carried forward	(30,333,666)	10,104,265	(20,229,401)
Excess depreciation over capital allowances	(203,004)	(2,419,665)	(2,622,669)
Unrealised exchange differences	<u>(240,478)</u>	<u>648,710</u>	<u>408,232</u>
Net deferred tax asset	<u><u>(30,777,148)</u></u>	<u><u>8,333,310</u></u>	<u><u>(22,443,838)</u></u>
Year ended 31 December 2012	At start of year Shs	Charge/(credit) to profit or loss Shs	At end of year Shs
Deferred tax (asset)/liability			
Unused tax losses carried forward	(7,973,392)	(22,360,274)	(30,333,666)
Accelerated capital allowances	1,833,976	(2,036,980)	(203,004)
Exchange differences	<u>(328,149)</u>	<u>87,671</u>	<u>(240,478)</u>
Net deferred tax asset	<u><u>(6,467,565)</u></u>	<u><u>(24,309,583)</u></u>	<u><u>(30,777,148)</u></u>

These principal amount equivalent to the deferred tax asset recognised on tax losses expire as follows:

	Shs	Expiry
- tax losses arising in 2012	67,431,337	2016
- tax losses arising in the 6 month period to June 2014	4,969,367	2017

No deferred tax liability is recognised as temporary differences relating to unremitted earnings of subsidiaries, as the group is able to control the timing of reversal of these temporary differences and it is probable that they will not reverse in the foreseeable future.

NOTES (CONTINUED)**12. Property, plant and equipment****Period ended 30 June 2014**

	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fixtures and office equipment Shs	Motor vehicles Shs	Computer equipment Shs	Total Shs
Cost							
At start of period	9,244,535	50,616,415	234,335,105	19,658,980	82,142,390	7,195,277	403,192,702
Additions	-	-	2,419,730	389,383	3,987,784	893,214	7,690,111
Disposals	(4,732,035)	(887,860)	-	-	(118,340)	-	(5,738,235)
Translation	-	(338,453)	(21,089,714)	(1,093,046)	(5,915,049)	34,846	(28,401,416)
At end of period	4,512,500	49,390,102	215,665,121	18,955,317	80,096,785	8,123,337	376,743,162
Accumulated depreciation							
At start of period	1,911,158	1,104,876	153,754,477	13,315,825	64,088,701	5,787,190	239,962,227
On disposal	(1,159,349)	(318,133)	-	-	(39,740)	-	(1,517,222)
Charge for the period	29,196	302,837	7,658,532	477,932	2,667,482	289,160	11,425,139
Translation	-	(102,110)	(20,193,935)	(1,074,205)	(5,791,469)	(6,242)	(27,167,961)
At end of period	781,005	987,470	141,219,074	12,719,552	60,924,974	6,070,108	222,702,183
Net book value	<u>3,731,495</u>	<u>48,402,632</u>	<u>74,446,047</u>	<u>6,235,765</u>	<u>19,171,811</u>	<u>2,053,229</u>	<u>154,040,979</u>

The leasehold land refers to L.R. No 209/8918, Enterprise Road, Nairobi and was professionally valued on 17 September 2012 by Landmark Realtors Limited on the basis of open market value at Shs. 120,000,000.

NOTES (CONTINUED)**12. Property, plant and equipment (continued)****Year ended 31 December 2013**

	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fixtures and office equipment Shs	Motor vehicles Shs	Computer equipment Shs	Total Shs
Cost							
At start of year	9,468,605	51,171,098	230,630,240	19,230,866	83,342,965	8,211,181	402,054,955
Additions	-	703,628	7,630,505	649,906	203,360	611,980	9,799,379
Transfers	-	-	1,607,344	-	-	(1,607,344)	-
Translation	(224,070)	(1,258,311)	(5,532,984)	(221,792)	(1,403,935)	(20,540)	(8,661,632)
At end of year	<u>9,244,535</u>	<u>50,616,415</u>	<u>234,335,105</u>	<u>19,658,980</u>	<u>82,142,390</u>	<u>7,195,277</u>	<u>403,192,702</u>
Accumulated depreciation							
At start of year	1,825,602	455,385	139,055,473	12,411,450	58,948,397	6,298,875	218,995,182
Transfers	-	-	1,077,968	-	-	(1,077,968)	-
Charge for the year	138,434	705,690	17,393,751	1,068,067	5,962,554	579,808	25,848,304
Translation	(52,878)	(56,199)	(3,772,715)	(163,692)	(822,250)	(13,525)	(4,881,259)
At end of year	<u>1,911,158</u>	<u>1,104,876</u>	<u>153,754,477</u>	<u>13,315,825</u>	<u>64,088,701</u>	<u>5,787,190</u>	<u>239,962,227</u>
Net book value	<u>7,333,377</u>	<u>49,511,539</u>	<u>80,580,628</u>	<u>6,343,155</u>	<u>18,053,689</u>	<u>1,408,087</u>	<u>163,230,475</u>

NOTES (CONTINUED)**12. Property, plant and equipment (continued)****Year ended 31 December 2012**

	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fixtures and office equipment Shs	Motor vehicles Shs	Computer equipment Shs	Total Shs
Cost							
At start of year	9,690,890	40,997,742	217,504,717	18,272,893	75,401,963	7,572,474	369,440,679
Additions	-	10,262,364	15,807,663	1,053,794	8,814,650	677,695	36,616,166
Disposals	-	-	-	-	(458,618)	-	(458,618)
Translation	<u>(222,285)</u>	<u>(89,008)</u>	<u>(2,682,140)</u>	<u>(95,821)</u>	<u>(415,030)</u>	<u>(38,988)</u>	<u>(3,543,272)</u>
At end of year	<u>9,468,605</u>	<u>51,171,098</u>	<u>230,630,240</u>	<u>19,230,866</u>	<u>83,342,965</u>	<u>8,211,181</u>	<u>402,054,955</u>
Accumulated depreciation							
At start of year	1,732,468	250,980	104,546,632	11,323,105	52,642,825	5,539,663	176,035,673
On disposal	-	-	-	-	(372,188)	-	(372,188)
Charge for the year	224,092	214,941	17,451,544	1,149,327	6,931,343	778,167	26,749,414
Translation	<u>(130,958)</u>	<u>(10,536)</u>	<u>17,057,297</u>	<u>(60,982)</u>	<u>(253,583)</u>	<u>(18,955)</u>	<u>16,582,283</u>
At end of year	<u>1,825,602</u>	<u>455,385</u>	<u>139,055,473</u>	<u>12,411,450</u>	<u>58,948,397</u>	<u>6,298,875</u>	<u>218,995,182</u>
Net book value	<u>7,643,003</u>	<u>50,715,713</u>	<u>91,574,767</u>	<u>6,819,416</u>	<u>24,394,568</u>	<u>1,912,306</u>	<u>183,059,773</u>

NOTES (CONTINUED)

	2014	2013	2012
	Shs	Shs	Shs
13. Inventories			
Raw materials	50,657,868	75,180,870	41,963,223
Work in progress	22,286,225	23,186,038	14,741,485
Finished goods	34,042,295	24,957,164	24,718,833
Goods in transit	10,170,216	-	13,218,801
	<u>117,156,604</u>	<u>123,324,072</u>	<u>94,642,342</u>
Amount of inventory expensed in profit or loss	<u>106,986,388</u>	<u>123,324,072</u>	<u>81,423,541</u>
14. Trade and other receivables			
Trade receivables	261,047,468	470,780,214	353,159,056
Other receivables	140,368,745	61,577,229	42,809,338
	<u>401,416,213</u>	<u>532,357,443</u>	<u>395,968,394</u>

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The group's credit risk arises primarily from trade receivables. The directors are of the opinion that the group's exposure is limited because the debt is widely held.

The carrying amounts of the group's trade and other receivables are denominated in the following currencies:

	2014	2013	2012
	Shs	Shs	Shs
Kenya Shilling	76,119,683	246,787,249	197,554,174
UAE Dirham	98,343,806	145,859,656	89,011,258
Other Currencies	226,952,724	139,710,538	109,402,962
	<u>401,416,213</u>	<u>532,357,443</u>	<u>395,968,394</u>

It is the group's policy to provide sales credit of up to three months. Trade receivables that are aged past three months are considered past due.

As of 30 June 2014, trade receivables amounting to Shs 65,261,867 (2013: Shs. 117,695,054, 2012: Shs. 88,298,764) were past due but not impaired. These relate to a number of independent customers for whom there is no recent history of default.

The ageing analysis of these trade receivables is as follows:

	2014	2013	2012
	Shs	Shs	Shs
3 to 12 months	<u>65,261,867</u>	<u>117,695,054</u>	<u>88,289,764</u>

No classes within trade and other receivables contain impaired assets.

The maximum exposure to credit risk at the reporting date is the fair value of each class of receivable mentioned above. The group does not hold any collateral as security.

NOTES (CONTINUED)

	2014 Shs	2013 Shs	2012 Shs
15. Cash and cash equivalents			
Cash at bank and in hand	<u>18,189,249</u>	<u>31,695,148</u>	<u>30,860,820</u>

For the purposes of the statement of cash flows, the period-end/year-end cash and cash equivalents comprise the following:

Cash at bank and in hand	18,189,249	31,695,148	30,860,820
Bank overdraft (Note 10)	<u>(44,919,665)</u>	<u>(51,763,600)</u>	<u>(36,876,880)</u>
	<u>(26,730,416)</u>	<u>(20,068,452)</u>	<u>(6,016,060)</u>

The carrying amounts of cash at bank and in hand are denominated in the following currencies:

	2014 Shs	2013 Shs	2012 Shs
Kenya Shilling	1,783,287	3,239,210	991,726
UAE Dirham	5,406,196	6,379,126	8,968,111
Other Currencies	<u>10,999,766</u>	<u>22,076,812</u>	<u>20,900,983</u>
	<u>18,189,249</u>	<u>31,695,148</u>	<u>30,860,820</u>

16. Trade and other payables

Current

Trade payables	94,325,160	381,904,527	300,328,974
Other payables	56,704,622	81,887,678	83,628,700
Payable to related parties (Note 19)	<u>90,185,109</u>	<u>3,085,787</u>	<u>7,652,036</u>
	<u>241,214,891</u>	<u>466,877,992</u>	<u>391,609,710</u>

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of trade and other payables are denominated in the following currencies:

	2014 Shs	2013 Shs	2012 Shs
Kenya Shilling	90,027,728	232,564,310	195,609,451
UAE Dirham	16,505,652	49,575,938	39,160,450
Other Currencies	<u>134,681,511</u>	<u>184,737,744</u>	<u>156,839,809</u>
	<u>241,214,891</u>	<u>466,877,992</u>	<u>391,609,710</u>

NOTES (CONTINUED)

16. Trade and other payables (continued)

The maturity analysis of trade and other payables is as follows:

Period ended 30 June 2014	0 - 1 month Shs	2 - 3 months Shs	4 - 12 months Shs	Total Shs
Trade payables	7,860,430	23,581,290	62,883,440	94,325,160
Other payables	-	56,704,622	-	56,704,622
Payable to related parties	-	-	90,185,109	90,185,109
	<u>7,860,430</u>	<u>80,285,912</u>	<u>153,068,549</u>	<u>241,214,891</u>
Year ended 31 December 2013				
Trade payables	31,825,377	95,476,132	254,603,018	381,904,527
Other payables	-	81,887,678	-	81,887,678
Payable to related parties	-	-	3,085,787	3,085,787
	<u>31,825,377</u>	<u>177,363,810</u>	<u>257,688,805</u>	<u>466,877,992</u>
Year ended 31 December 2012				
Trade payables	25,027,415	95,476,132	179,825,428	300,328,974
Other payables	-	83,628,700	-	83,628,700
Payable to related parties	-	-	7,652,036	7,652,036
	<u>25,027,415</u>	<u>179,104,832</u>	<u>187,477,464</u>	<u>391,609,710</u>
		2014 Shs	2013 Shs	2012 Shs
17. Deposit for shares				
At start of the period/year		-	9,500,000	9,500,000
Refund during the period/year		-	(9,500,000)	-
		<u>-</u>	<u>-</u>	<u>9,500,000</u>
18. Cash from operations		6 months to 30 June 2014 Shs	12 months to 31 December 2013 Shs	12 months to 31 December 2012 Shs
Reconciliation of profit before tax to cash (used in)/ from operations:				
Profit before tax		84,503,260	173,236,259	39,510,694
Adjustments for:				
Depreciation on property, plant and equipment (Note 12)		11,425,139	25,848,304	26,749,414
Interest expense (Note 7)		30,076,940	33,056,610	86,923,715
(Gain)/loss on disposal of property, plant and equipment		(61,044,243)	-	21,438
Foreign exchange loss		3,296,973	12,897,140	3,936,454
Changes in working capital:				
- trade and other receivables		130,941,230	(136,389,049)	(14,452,636)
- inventories		6,167,468	(28,681,730)	43,538,710
- trade and other payables		(225,663,101)	75,268,282	5,298,493
Cash (used in)/from operations		<u>(20,296,334)</u>	<u>155,235,816</u>	<u>191,526,282</u>

NOTES (CONTINUED)**19. Related party transactions and balances**

The following transactions were carried out with related parties:

	6 months to 30 June 2014	12 months to 31 December 2013	12 months to 31 December 2012
	Shs	Shs	Shs
Sales	<u>349,991,066</u>	<u>263,685,593</u>	<u>203,541,859</u>
Purchases	<u>38,391,597</u>	<u>32,223,607</u>	<u>15,840,395</u>
Key management compensation	<u>26,421,228</u>	<u>68,596,753</u>	<u>57,791,575</u>
	2014	2013	2012
	Shs	Shs	Shs
Payable to related parties (Note 16)	<u>90,185,109</u>	<u>3,085,787</u>	<u>7,652,036</u>
Shareholders loan (Note 10)	<u>88,527,014</u>	<u>17,030,547</u>	<u>10,940,524</u>

20. Capital management

The group's objectives when managing capital are:

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to safeguard the group's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders;
- to maintain a strong asset base to support the development of business; and
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders or adjust the amount of capital expenditure. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity.

The gearing ratio as at 30 June 2014, 31 December 2013 and 31 December 2012 were as follows:

	2014	2013	2012
	Shs	Shs	Shs
Total borrowings (Note 10)	276,305,983	210,803,665	228,398,877
Less: cash and cash equivalents (Note 15)	<u>(18,189,249)</u>	<u>(31,695,148)</u>	<u>(30,860,820)</u>
Net debt	<u>258,116,734</u>	<u>179,108,517</u>	<u>197,538,057</u>
Total equity	<u>200,976,585</u>	<u>198,127,718</u>	<u>109,418,237</u>
Gearing ratio	<u>1.28:1</u>	<u>0.9:1</u>	<u>1.66:1</u>

NOTES (CONTINUED)

21. Risk management objectives and policies

Financial risk management

The group's activities expose it to a variety of financial risks: market risk (including foreign exchange risk and interest rate risk), credit risk and liquidity risk. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the group's financial performance.

Risk management is carried out by the group finance department under policies approved by management. Management identifies, evaluates and hedges financial risks.

a) Market risk

(i) Foreign exchange risk

The group operates in various jurisdictions and is exposed to foreign exchange risk arising from various currency exposures. The risk arises from assets and liabilities in the statement of financial position and future transactions.

The table below summarises the effect on post-tax profit had the Kenya Shilling weakened by 10% against various currencies, with all other variables held constant. If the Kenya Shilling strengthened against each currency, the effect would have been the opposite.

	UAE Dirham Shs	Other Currencies Shs	Total Shs
Effect on profit - decrease			
6 months to 30 June 2014	<u>6,107,105</u>	<u>1,689,698</u>	<u>7,796,802</u>
Year ended 31 December 2013	<u>7,186,399</u>	<u>(1,704,610)</u>	<u>5,481,789</u>
Year ended 31 December 2012	<u>4,117,324</u>	<u>(4,666,503)</u>	<u>(549,179)</u>

(ii) Interest rate risk

The groups exposure to interest rate risk arises from borrowings

At 30 June 2014, if interest rates at that date had been 10 basis points higher with all other variables held constant, post-tax profit for the year would have been lower by amounts shown below, this arising mainly as a result of higher interest expense on variable borrowings.

	6 months to 30 June 2014 Shs	12 months to 31 December 2013 Shs	12 months to 31 December 2012 Shs
Effect on profit - decrease	<u>1,169,659</u>	<u>1,285,535</u>	<u>3,380,367</u>

NOTES (CONTINUED)**21. Risk management objectives and policies (continued)****b) Credit risk**

Credit risk arises from cash and cash equivalents and deposits with banks as well as credit exposures to customers, including outstanding receivables.

If customers are independently rated, these ratings are used. Otherwise, if there is no independent rating, management assesses the credit quality of the customer, taking into account their financial position, past experience and other factors.

Individual limits are set based on internal or external information in accordance with limits set by the management.

The utilisation of credit limits is regularly monitored.

No credit limits were exceeded during the reporting period, and management does not expect any losses from non-performance by these counterparties.

None of the financial assets that are fully performing has been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

c) Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the group's management maintains flexibility in funding by maintaining availability under committed credit lines. Notes 10 and 16 disclose the maturity analysis of borrowings and trade and other payables respectively.

The table below disclose the undiscounted maturity profile of the groups financial liabilities:

Period ended 30 June 2014

	Interest rate %age	Between 1 - 3 months Shs	Between 3 months - 1 year Shs	Between 1 - 2 years Shs	Between 3 - 5 years Shs	Total Shs
Non-interest bearing liabilities						
Trade and other payables		88,146,342	153,068,549	-	-	241,214,891
Shareholders loan		-	-	-	88,527,014	88,527,014
Interest bearing liabilities						
- Bank overdraft	17.5 - 18	-	44,919,665	-	-	44,919,665
- Interest payable		-	7,860,941	-	-	7,860,941
- Bank borrowings	17.5 - 18	9,501,935	28,505,804	38,007,738	66,843,828	142,859,304
- Interest payable		6,042,240	15,632,461	15,023,347	13,302,708	50,000,756
		<u>103,690,516</u>	<u>249,987,420</u>	<u>53,031,085</u>	<u>168,673,550</u>	<u>575,382,572</u>

NOTES (CONTINUED)**21. Risk management objectives and policies (continued)****c) Liquidity risk (continued)****Year ended 31 December 2013**

	Interest rate %age	Between 1 - 3 months Shs	Between 3 months - 1 year Shs	Between 1 - 2 years Shs	Between 3 - 5 years Shs	Total Shs
Non-interest bearing liabilities						
Trade and other payables		209,189,187	257,688,805	-	-	466,877,992
Shareholders loan		-	-	-	17,030,547	17,030,547
Interest bearing liabilities						
- Bank overdraft	17.5 - 18	-	51,763,600	-	-	51,763,600
- Interest payable		-	9,058,630	-	-	9,058,630
- Bank borrowings	17.5 - 18	13,387,380	40,162,140	53,549,520	34,910,478	142,009,518
- Interest payable		5,920,067	14,246,015	10,794,917	18,742,332	49,703,331
		<u>228,496,634</u>	<u>372,919,190</u>	<u>64,344,437</u>	<u>70,683,357</u>	<u>736,443,618</u>

Year ended 31 December 2012

	Interest rate %age	Between 1 - 3 months Shs	Between 3 months - 1 year Shs	Between 1 - 2 years Shs	Between 3 - 5 years Shs	Total Shs
Non-interest bearing liabilities						
Trade and other payables		204,132,246	187,477,464	-	-	391,609,710
Shareholders loan		-	-	-	10,940,524	
Interest bearing liabilities						
- Bank overdraft	17.5 - 18	-	36,876,880	-	-	36,876,880
- Interest payable		-	6,453,454	-	-	6,453,454
- Bank borrowings	17.5 - 18	17,829,640	53,488,920	71,318,560	37,944,353	180,581,473
- Interest payable		7,510,416	17,850,968	12,880,636	24,961,496	63,203,516
		<u>229,472,302</u>	<u>302,147,685</u>	<u>84,199,196</u>	<u>73,846,373</u>	<u>678,725,033</u>

22. Dividend

During the period one of the entities whose financial statements have been combined paid a dividend of Shs. 73,855,168 (2013: Shs. 89,597,728, 2012: Shs. 119,232,932).

NOTES (CONTINUED)

23. Commitments

Operating lease commitments - as a lessee

The future minimum lease payments payable under non-cancellable operating leases are as follows:

	2014	2013	2012
	Shs	Shs	Shs
Not later than 1 year	9,280,054	15,013,389	11,187,264
Later than 1 year and not later than 5 years	25,662,921	34,942,976	18,686,941
	<u>34,942,975</u>	<u>49,956,365</u>	<u>29,874,205</u>

The group and company lease various properties under non-cancellable operating lease agreements. The lease terms are between 2 to 5 years and these are generally renewable at the end of the tenure of the lease.

24. Contingent liabilities

The group and company is a defendant in various legal actions. In the opinion of the directors and after taking appropriate legal advice, the outcome of such actions will not give rise to any significant loss.

25. Retirement benefit obligations

No provision for gratuity and service pay has been provided for as the amounts involved are not material.

26. Presentation currency

The financial statements are presented in Kenya Shillings.